

BANK OF THAILAND

# Monetary Policy Report

*September 2014*

# Monetary Policy Report

The *Monetary Policy Report* is prepared quarterly by staff of the Bank of Thailand with the approval of the Monetary Policy Committee (MPC). It serves two purposes: (1) to communicate to the public the MPC's consideration and rationales for the conduct of monetary policy, and (2) to present the latest set of economic and inflation forecasts, based on which the monetary policy decisions were made.


The Monetary Policy Committee
September 2014

| | |
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# Monetary Policy in Thailand

## The Monetary Policy Committee

Under the Bank of Thailand Act, the Monetary Policy Committee (MPC) comprise of the Governor and two deputy Governors, as well as four distinguished external members representing various sectors of the country, with the aim to provide monetary policy decisions that are effective and transparent.

## The Monetary Policy Objective

The MPC sets monetary policy with the objective to support sustainable and full potential economic growth, without causing inflationary problems or economic and financial imbalances or bubbles.

## The Monetary Policy Target

The National Council for Peace and Order approved the use of quarterly average core inflation with the range of 0.5-3.0 percent per annum, which was jointly proposed by the MPC and the Minister of Finance, as monetary policy target for 2015. In an event that core inflation deviates from the target, the MPC shall explain the reasons behind target breach to the public, together with action plans to bring inflation back to the target.

## The Monetary Policy Instrument

The MPC utilizes the 1-day bilateral repurchase transaction rate as the policy rate to signal the monetary policy stance.

## Evaluating economic conditions and forecasts

The Bank of Thailand considers information from all sources, the macroeconomic model, data in each economic sector, as well as direct opinions from large enterprises and small and medium-sized enterprises from all over the country, and various financial institutions to ensure that economic evaluations and forecasts are accurate and covers all aspects, both in the macro and micro levels.

## Monetary Policy Communication

Recognizing the importance of Monetary Policy communication to the public, the MPC arrange many forms of communication, both in Thai and English, such as (1) organizing a press statement at 14.00 hrs. on the day of the meeting, (2) publishing edited Minutes of the MPC meeting two weeks after the meeting, and (3) publishing the Monetary Policy Report every quarter.

# Monetary Policy Report

## September 2014

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# Growth and Inflation Prospects and Monetary Policy

# 1. Growth and Inflation Prospects and Monetary Policy

The Thai economy recovered continually and growth in 2014 was expected to be close to the previous projection. The increase in domestic spending after the political tension was resolved helped offset the weakening momentum from 1) production constraints in the export sector, and 2) the slow rebound of tourism that was affected by the political situation. However, exports that slowed down significantly would cause growth in 2015 to be weaker than previously projected. Meanwhile, inflationary pressure edged down due to the decline in global oil prices and the government's plan to restructure domestic oil prices.

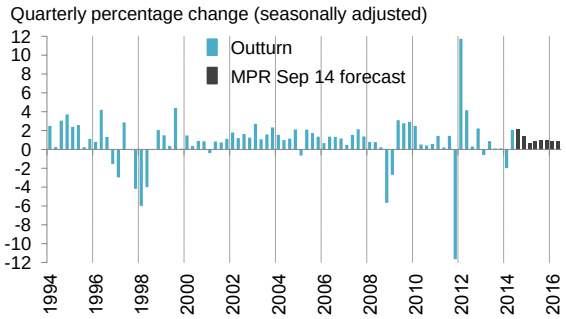
In the past two meetings, the MPC voted to hold the policy rate at 2.00 percent per annum to support economic recovery during reform periods without affecting economic and financial stability.

## 1.1 Growth and inflation prospects

In 2014, the Thai economy was likely to expand close to the previous projection. Growth in 2015, however, would be lower than previously projected. Inflationary pressure edged down in line with global oil prices and the government's plan to restructure domestic oil prices.

**The economy recovered continually after the political change.** The public sector resumed normal operation and expedited budget disbursement to stimulate growth and shore up private confidence. As a result, private spending increased particularly private consumption. However, sentiment of foreign tourists that improved rather slowly continued to weigh on the tourism sector. Export growth was subdued owing

Chart 1.1 Thailand's Quarterly GDP growth




Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted)

to technological constraints faced by the domestic manufacturing sector.

**The MPC assessed that the overall economy would continue to recover in 2015 albeit at a slower pace than previously projected.** The downward revision of growth stemmed from 1) production constraints in merchandise exports which would take time to resolve and 2) the slow rebound in exports of services. Additionally, given that momentum from domestic spending was projected to be sub-par, the MPC deemed government stimulus to be inadequate to completely offset the weakening economic thrust. **(Chart 1.1 and Table 1.1)**

Table 1.1 Forecast summary

| Percent | 2013* | 2014 | 2015 |
|---|---|---|---|
| GDP growth | 2.9 | 1.5 | 4.8 |
| | | (1.5) | (5.5) |
| Headline inflation | 2.2 | 2.2 | 2.1 |
| | | (2.6) | (2.5) |
| Core inflation | 1.0 | 1.6 | 1.3 |
| | | (1.7) | (1.4) |

Note: * Outturn
( ) MPR Jun 2014
Source: Office of the National Economic and Social Development Board and calculations by Bank of Thailand

**Risks that the Thai economy would deviate from the previous assessment, especially in 2014, stemmed from production constraints which could negatively affect exports, and lower-than-expected trading partners' economic growth owing to possible heightening of geopolitical risk between Russia and Ukraine.** Moreover, the domestic political situation could continue to undermine foreign tourists' confidence, posing a drag on recovery of Thailand's tourism sector. Public spending could also be delayed due to restrictions

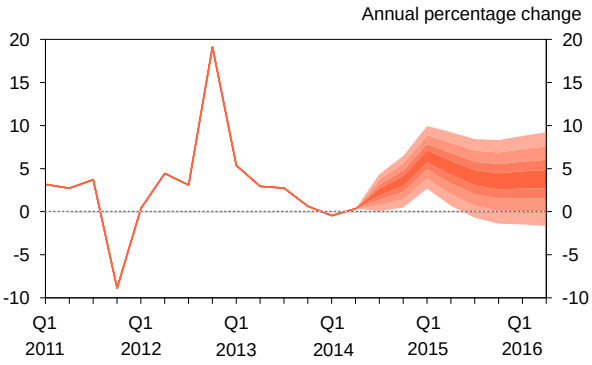
on budget disbursement and formation of the new government. Nevertheless, the MPC judged risk from public spending to gradually ease as policies gained greater clarity.

Meanwhile, upside risks to economic growth could stem from higher-than-expected trading partners' economic growth due to additional monetary stimulus in major economies. The possible lifting of martial law in 2015 could also help tourism to rebound faster than expected. Furthermore, expedition of budget disbursement and higher-than-expected additional government stimulus, along with faster-than-expected recovery of private investment following improved confidence which owed to greater policy clarity, could potentially drive growth above the baseline projection.

On the whole, the MPC viewed that **the probability of the economy expanding lower than projected was greater than the probability of the economy expanding beyond the baseline case in 2014. The fan chart for growth was, therefore, skewed downwards at the beginning of the projection period. In 2015, however, the downside risk from public spending was expected to reduce while the upside risk from tourism was expected to increase. The fan chart for growth thus became balanced towards the end of the projection period. (Chart 1.2)**

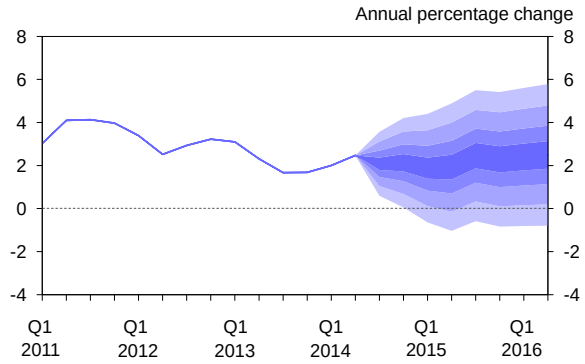
**Inflation projections for both headline and core inflation edged down** in line with the decrease in global oil prices and the government's plan to restructure domestic oil prices. Meanwhile, the pass-through of household LPG price which was consistently increased since the end of last year, eased gradually as expected. Looking

Chart 1.2 GDP growth forecast



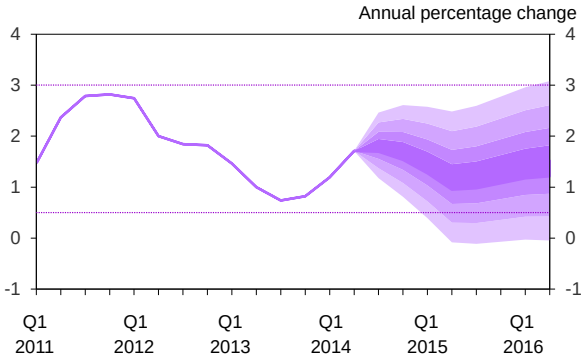

Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.3 Headline inflation forecast




Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.4 Core inflation forecast




Note: The fan chart covers 90 percent of the probability distribution.

ahead, **cost-push pressure should decline** in line with oil prices while **demand-pulled pressure was expected to edge higher** towards the end of 2014 during the economic recovery and the closing of output gap in 2015. **(Table 1.1)** Moreover, the MPC assessed that risks to both headline and core inflation were relatively balanced. In this regard, upside risks to inflation could stem from higher-than-expected pass-through during economic recovery and LPG price hikes. Downside risks to inflation included weaker-than-expected demand-pulled pressure that could result should economic growth deviate from the baseline projection. **(Charts 1.3 and 1.4)**

## 1.2 Economic outlook

The economy was poised to recover continually after the political change. Growth outlook for 2014 remained close to the previous projection due to domestic demand momentum, particularly public spending and private consumption which improved after the public sector resumed normal operation and private sentiment was restored. Meanwhile, exports of goods and services which were poised to recover slowly would weaken the pace of economic growth in 2015.

Domestic demand was poised to recover continually but growth of exports of goods and services would be lower than the previous projection.

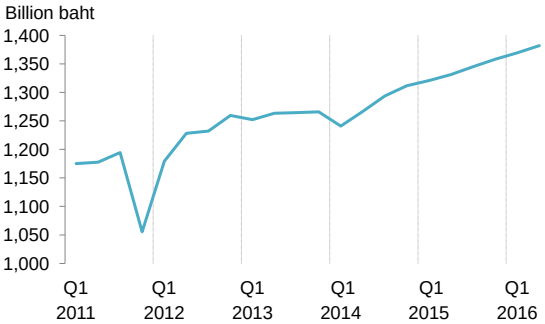
**In 2014, the Thai economy was likely to expand close to the previous projection as the thrust from public spending and private consumption would help offset the sluggish**

**recovery in exports of goods and services.** After the political situation gained much clarity since mid-year, expedition of budget disbursement helped shore up private confidence and resulted in higher consumption of non-durables. Meanwhile, investment expanded somewhat in line with investment in construction and projects with Board of Investment (BOI) approval and permit for factory operation (Ror.Ngor. 4), although some businesses still chose to wait in order to reassess future economic prospects.

**The thrust gained from domestic spending was expected to help offset the weakening economic momentum** that stemmed from (1) the sluggish recovery and low growth of merchandise exports due to production technology constraints which greatly restricted Thailand's competitiveness, disease outbreak in shrimps, and the slump in farm prices; and (2) the slow rebound in tourism as improvement in foreign tourists' sentiment remained slow due in part to the ongoing declaration of martial law which led many countries to maintain travel advisories.

Going forward, the economy in 2014 was poised to expand slowly in line with domestic demand. Nonetheless, the momentum from exports of goods and services was expected to weaken due to production technology constraints which restricted the manufacturing sector in responding to changes in market demand along with over-reliance on agricultural products. Both these problems would take time to resolve. Moreover, recovery in tourism was assessed to be slow. These weaknesses coupled with consumption of durables which remained sub-par due to the elevated household debt, implied that the economic growth in 2015 would be lower than previously projected. **(Chart 1.5 and Table 1.2)**

Chart 1.5 Level of GDP



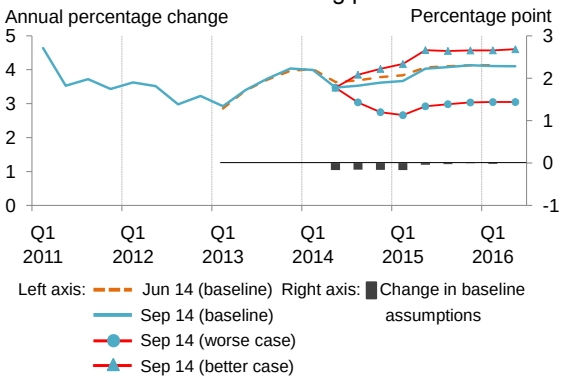

Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted by the Bank of Thailand)

Table 1.2 Forecasts for GDP and components

| Percent (per annum) | 2014 | 2015 |
|---|---|---|
| GDP growth | 1.5 | 4.8 |
| Domestic demand | 0.9 | 5.5 |
| Private consumption | 1.1 | 4.0 |
| Private investment | -2.8 | 10.2 |
| Government consumption | 4.5 | 2.9 |
| Public investment | 3.3 | 9.9 |
| Exports of goods and services | -0.4 | 5.7 |
| Imports of goods and services | -4.7 | 8.5 |

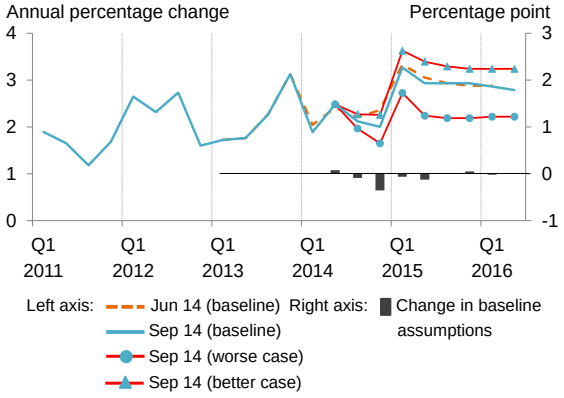
Note: At 1988 prices

Chart 1.6 Growth assumptions for Thailand's trading partners




Note: Weighted by each country's share in Thailand's total exports

Chart 1.7 Growth assumptions for the U.S.




## The global economy should recover steadily

The global economy recovered steadily, particularly the U.S. economy, albeit at a slightly slower pace than previously projected owing to slower-than-expected recoveries in the euro and Japanese economies.

**Thailand's trading partner economies were assessed to recover steadily albeit at a slightly slower pace than previously projected (Chart 1.6)**. The downward revision in growth stemmed from geopolitical risk in the euro area which farther dented recovery prospect of already weak economic fundamentals, and sluggish recovery in Japan due to negative impacts of the consumption tax hike. Nonetheless, the U.S. economy continued to grow steadily while Asian economies recovered in line with their export sectors.

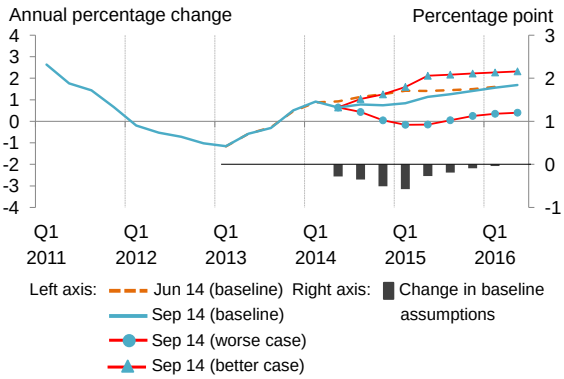
**The U.S. economy was expected to pick up continually (Chart 1.7)** after decelerating slightly at the beginning of the year due to the temporary effect of unusually cold weather. Factors that would contribute to U.S. economic

growth in the next periods included improvement in households' financial conditions in line with rising house prices, recovery in employment, and the ongoing accommodative monetary policy. However, the continuity of U.S. economic recovery, particularly the real estate sector, remained subject to risk of some tightening in monetary conditions, following the Fed's unwinding of its Quantitative Easing (QE) measures.

In this regard, the firming up of U.S. economic recovery prompted the Fed to gradually reduce its asset purchases to 15 billion U.S. dollars per month in September and signal its intention to hold the fed funds rate at 0-0.25 percent per annum for some time to retain continuous economic momentum. Accordingly, the MPC assessed that the Fed would keep the fed funds rate at this level until mid-2015 before raising it in 2015 Q3, one quarter earlier than its previous projection (as per Monetary Policy Report June 2014).

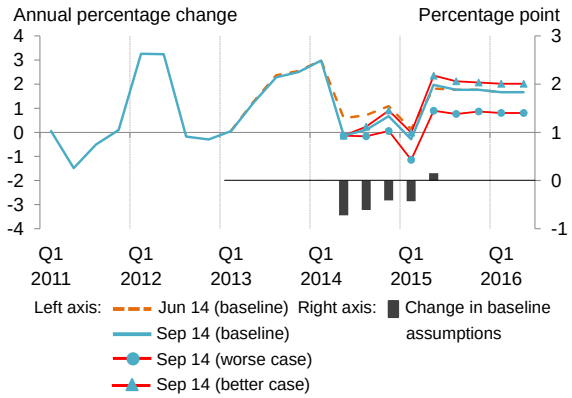
**Euro area economies were poised to grow at a slower pace than previously projected** due to ongoing structural problems and the impact of geopolitical risk on already weak economic fundamentals. **(Chart 1.8)** The EU's decision to boycott Russia and Russia's subsequent retaliation actions on western economies caused business sentiment to deteriorate continually, resulting in the greater-than-expected slowdown in investment. Furthermore, an important risk to growth of the euro area would come from structural reforms, especially in periphery economies[1/], which must be pushed forward although the effort could potentially hinder economic expansion. Meanwhile,

Chart 1.8 Growth assumptions for the euro area




[1/] Portugal, Italy, Ireland, Greece and Spain (PIIGS)

Chart 1.9 Growth assumptions for Japan




additional monetary stimulus[2/] provided by the ECB was assessed to help improve confidence to some extent.

**The Japanese economy was likely to expand at a slower pace than previously projected (Chart 1.9)** due to a greater-than-expected contraction in domestic demand in 2014 Q2, following the consumption tax hike in April. Nonetheless, it was expected that recovery would proceed gradually in the second half of the year in line with the previous projection and a number of supporting factors, namely the expedition of government budget disbursement to provide extra stimulus and the pick-up in exports in line with recoveries in trading partners' economies, particularly the U.S. economy. These factors were expected to help Japan's domestic demand and manufacturing sector pick up steadily.

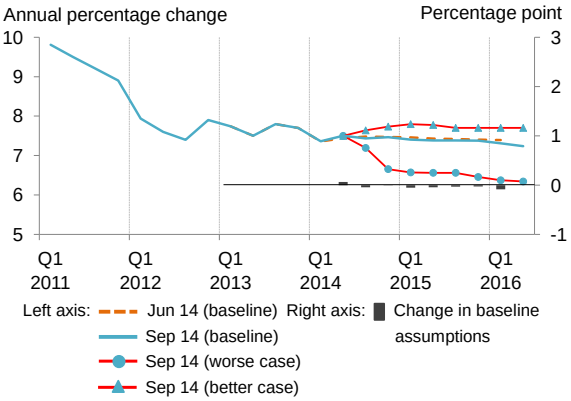
Looking ahead, risks to the Japanese economy included the less-than-expected effect of economic stimulus. Moreover, uncertainty on the second round consumption tax hike from 8 to 10 percent which was scheduled in December 2014 and to be enforced in October 2015, remained a factor to keep abreast. In addition, should geopolitical risk in the euro area heighten, the yen could depreciate by less than expected as investors would continue to use it as a safe haven

[2/] In the July 2014 meeting, details on the Targeted Longer-Term Refinancing Operations (TLTROs) were announced. Then, in the September 2014 meeting, the ECB announced an across-the-board interest rate cut by 0.1 percent per annum, causing the refinancing rate, the ECB marginal lending rate and the ECB deposit rate to reduce to 0.05, 0.3 and -0.2 percent per annum, respectively. Additional quantitative easing measures were also announced, including the Asset-Backed Securities Purchase Program and the Covered Bonds Purchase Program.

currency, thereby affecting the export sector to some extent. Therefore, the MPC judged that the Bank of Japan would continue to maintain its accommodative monetary policy stance[3] for some time.

**The Chinese economy was poised to expand close to the previous projection. (Chart 1.10)** Exports would likely pick up continually in line with the global economic recovery that was led by the U.S. economy. Meanwhile, investment which used to be an important growth engine in the past would slow down in part as a result of China's policy to rebalance its economic structure by reducing reliance on investment especially in industries with overcapacity and in the real estate sector where imbalances between demand and supply were noted in many provinces.

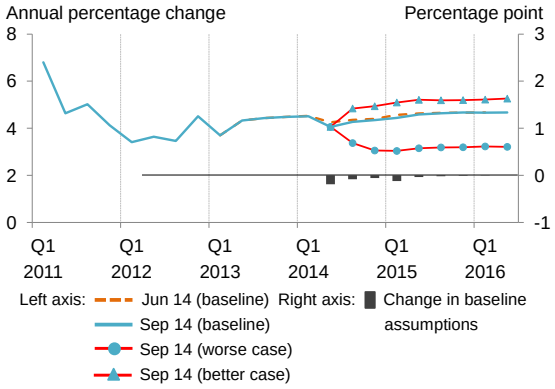
Chart 1.10 Growth assumptions for China




The Chinese government continued to focus effort on economic reforms by replacing investment with domestic consumption as the growth engine. This resulted in some economic slowdown in the short-term; nevertheless, it was assessed that the Chinese economy in 2014 would be able to grow close to the target of 7.5 percent. The projection owed to the government's gradual introduction of policies to support reform-affected sectors. Example included the approval for real estate developers to borrow from the interbank market, which was designed to provide access to necessary funding for large and profitable corporates that were affected by measures to curb shadow banking. Another example was the expedition of investment in

[3/] By keeping the policy rate at a low level and retaining its plan to increase the monetary base (Q-squared) by 60-70 trillion yen a year.

Chart 1.11 Growth assumptions for Asian economies (Excluding Japan and China)




infrastructures such as hospital repairs and reconstructions in various provinces and railroad constructions.

**Asian economies (excluding Japan and China) were likely to expand close to the previous projections (Chart 1.11)**, driven mainly by the gradual recovery in exports, especially electronics, that would help offset the weakening domestic demand momentum. The latter stemmed from (1) financial institutions' tightening of credit standards especially for real estate investment; and (2) limitations on consumption growth which owed to the elevated household debt in many countries, for example, Hong Kong, South Korea, Malaysia and Singapore.

### Thai exports recovered only slowly

Notwithstanding the steady pick up in the global economy, Thai exports of goods and services were likely to recover slower than previously projected.

**In 2014, merchandise exports were likely to recover slower and expand by significantly lower than the previous projections due mainly to the greater-than-expected negative impact of production constraints and low export prices. (Table 1.3)** Export volume picked up significantly slower than previously projected in part due to lower-than-expected demand from trading partner economies, particularly the euro and Japanese economies. Moreover, the export sector was faced with long-term structural problems namely (1) the long absence of investment in production technology especially for electronics goods such as integrated circuits, which hindered Thailand's global competitiveness; (2) over-reliance on agricultural products during times of low farm prices,

particularly rice and rubber, owing to a global over supply problem. Thus, exports of agricultural products were unable to fully benefit from global economic recovery; and (3) the downward trend in growth of automobile exports as trading partner economies such as Indonesia were able to replace imports with domestic production as well as compete with Thai exports in the global market.

Nonetheless, exports of certain goods were able to recover steadily, for example, petrochemical products, machinery and equipment, processed agricultural products, and parts and accessories for motor vehicles. Looking ahead, once the manufacturing sector was able to resolve current production constraints, Thailand would benefit from the global economic recovery to a greater extent. This positive development would support the manufacturing sector, household income, and strengthen private confidence, leading to further investment to expand production capacity. However, **the role of merchandise exports as an engine of growth would decline and production capacity would be lower than previously projected in the short-term given that the aforementioned structural problems would take time to address and resolve.**

**Exports of services were poised to decline owing to the sluggish recovery in tourist income relative to the previous projection.** Tourist income in 2014 was assessed to decline continually due to the negative impact of the political situation which put a dent in tourism climate. Despite the speedy rebound in the number of East Asian tourists after the political tension subsided thanks to their quick decisions regarding travel plans, that of European tourists was slow to respond in part due to the slowdown in their economies. The ongoing martial law

declaration also had an implication on travel insurance policies, thereby affecting confidence of European tourists who normally took time to make travel plans. Therefore, the tourism sector was assessed to grow by less than previously projected in 2015.

**The current account balance[4/] was expected to record a surplus in 2014 but would be close to balance in 2015. (Table 1.3)** The current account was likely to record a large surplus after a deficit was registered in 2013, mainly due to low imports during the first half of the year in line with the slowdown in domestic demand. Nonetheless, it was expected that in 2015, the current account would be close to balance following the increase in imports of consumer goods, raw materials, intermediate goods, capital goods and machineries, in line with the gradual pick up in domestic demand.

Table 1.3 Forecasts for the external sector

| | 2014 | 2015 |
|---|---|---|
| Growth in value of exports* (F.O.B., percent per annum) | 0.0 | 4.0 |
| Growth in value of imports* (F.O.B., percent per annum) | -6.8 | 9.5 |
| Trade balance (billion U.S. dollars)* | 21.4 | 11.0 |
| Current account balance (billion U.S. dollars)* | 11.5 | 0.7 |

Note: *Data revision according to definitions in IMF's Balance of Payments Manual, 6th edition (BPM6), and Ministry of Commerce's revised database

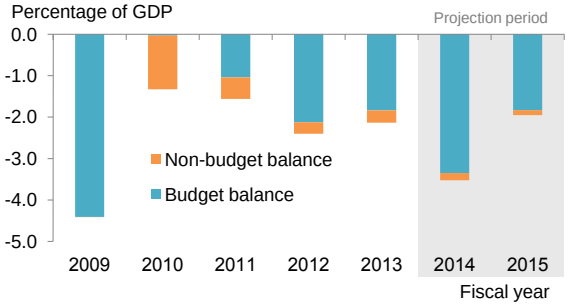
[4/] including reinvested earnings

Fiscal stimulus would provide a key thrust for economic growth going forward

The fiscal stimulus continued to play its role. The delays in 2014 public spending would translate to the higher fiscal stimulus in 2015.

**Fiscal stimulus would assume a key role in sustaining economic growth. (Chart 1.12)** Public spending was expected to provide a key thrust for economic growth during the latter half of 2014. After the political change in mid-year, the public sector was able to resume normal operation, resulting in more concrete policies and higher budget disbursement compared to the first half of the year. Some portions of public spending, however, were delayed due to project examination for transparency issues. In fiscal year 2015, fiscal stimulus was expected to persist and would be slightly higher than previously projected thanks to the promulgation of the Budget Act following the government formation, budget disbursement acceleration measures for approved projects, and the postponement of spending on some investment projects to 2015, including investment in infrastructure.

Chart 1.12 Assumptions on public sector expenditure




Note: Non-budgetary spending includes (1) the Mega Investment Project (Strong Thailand), (2) the water management project, and (3) the Development Policy Loan (DPL)
Source: Public Debt Management Office and Bureau of the Budget and calculation by Bank of Thailand

**Compared to the previous projection, assumptions on public spending were adjusted slightly downwards in 2014 but upwards in 2015. (Table 1.4)** Delays in public spending in fiscal year 2014 prompted the MPC to anticipate that disbursement rate would decline to 91.4 percent from the previous assumption. Nonetheless, the MPC viewed that public spending would slightly increase in fiscal year 2015, with disbursement rate of 93.7 percent in line with the measures to accelerate budget disbursement since the beginning of the fiscal year as well as state enterprises' expenditure that was expected

to rise in tandem with greater clarity on infrastructure investments, for example, rural train lines.

Table 1.4 Assumptions on public sector expenditure

| Unit: Billion baht | Fiscal year | |
|---|---|---|
| | 2014 | 2015 |
| General government consumption | 1 ,699.4 | 1,780.8 |
| Public investment | 678.7 | 782.8 |
| Total | 2,378.1 | 2,563.6 |

Note: Includes expenditure assumptions on the water management project and the infrastructure investment project
Source: Bureau of the Budget and calculation by Bank of Thailand

### Private spending recovered steadily

Greater political clarity would help shore up spending confidence of the private sector, particularly private consumption. Meanwhile, private investment was expected to remain close to the previous projection.

**Private consumption was poised to grow at a higher rate than previously projected.** Consumption of non-durables and services picked up since mid-2014 due to several reasons, for instance, the rapid turnaround in confidence and the government's policies to maintain people's purchasing power. These policies included, the expedition of debt repayment to farmers in the rice pledging scheme, the reduction of domestic oil price, and the request for businesses' cooperation in maintaining prices, etc. Other reasons included greater political clarity and signs of recovery of consumption of durables.

The MPC assessed that **private consumption was likely to pick up steadily but it would remain sub-par** due to spending constraints from the elevated household debt and low farm income, which followed global farm prices. However, it was expected that spending

on durables would gradually pick up and return to its normal trend in the latter half of 2015 thanks to improvements in employment and non-farm income in line with the economic recovery.

**Private investment was expected to recover gradually and expand close to the previous projection.** The political situation which unwound in mid-year coupled with greater policy clarity helped rebuild confidence and led businesses to invest, especially in construction projects to support the government's investment in infrastructures. Investment in machinery and equipment remained somewhat subdued at this early stage since most of it was for repair and replacement. Business operators still preferred to wait to reassess future economic prospects. In addition, investment to expand production capacity in export-oriented industries was postponed due to the soft patch in merchandise exports. However, the MPC assessed that private investment would substantiate towards the end of 2014. An increase in investment in machinery and equipment to expand production capacity was anticipated given BOI's investment promotion approvals for a number of projects that had been postponed previously. It was also expected that investment in export-oriented manufacturing sectors would pick up towards the end of 2015.

Looking ahead, the MPC deemed many of Thailand's supply restrictions to persist, for instance, production technology which could not promptly respond to changes in the global market, labor shortage and skill mismatch, and high transportation cost. These structural limitations would not only affect Thailand's competitiveness in the current period but also investment decision and the country's economic potential in future periods. Therefore, successful implementation of

manufacturing production restructuring and planned infrastructure development by the government coupled with cooperation from the private sector to resolve these issues would help maintain Thailand's ability to grow sustainably.

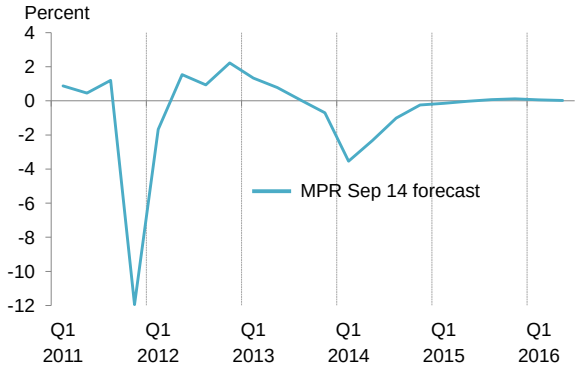
Inflationary pressure was likely to be lower than previous projections

Inflationary pressure edged lower than expected in tandem with the decline in global oil prices and the government's plan to restructure domestic oil prices.

**Headline and core inflation was poised to soften in line with the decline in global oil prices and the government's plan to restructure domestic retail oil prices**. Meanwhile, the pass-through of household LPG price which was raised since the end of 2013 gradually dissipate as expected. Going forward, it was assessed that demand-pulled pressure would remain close to the previous projection.

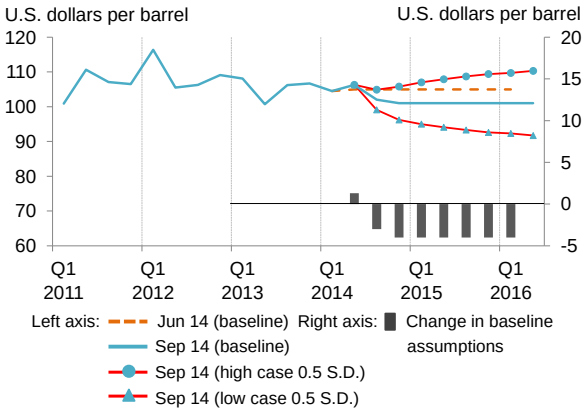
**Inflationary pressure from the demand side was likely to be close to the previous projection.** Although the economic growth in 2015 would be softer than previously projected, the reduction in potential output in the short-term implied that demand-pulled pressure (as reflected by the output gap) would remain similar to the previous projection. The reduction in the potential output stemmed from production constraints in the export sector. In sum, a highly negative output gap would be recorded during the first half of 2014 in line with sluggish domestic spending and exports. Then, towards the second half of the year, the output gap would start to improve and eventually be closed in 2015 mainly in tandem with improvement in domestic spending. **(Chart 1.13)**

Chart 1.13 Output Gap



**Cost pressure was likely to edge down from the previous projection following the decrease in world oil and commodity prices.** Baseline Dubai crude oil price **(Chart 1.14)** in 2014 was revised down from the previous assessment to 103.5 U.S. dollars per barrel before stabilizing at 101.0 U.S. dollars per barrel throughout 2015. The revision was prompted by the easing of concerns over geopolitical risk in oil producing countries such as Iraq since the problem did not affect the level of output. At the same time, there was an increase in the global supply of oil from OPEC countries and the U.S. Meanwhile, global demand for oil did not reach the level previously anticipated. The aforementioned excess production capacity, therefore, led the MPC to assess that global oil prices would remain low in the periods ahead.

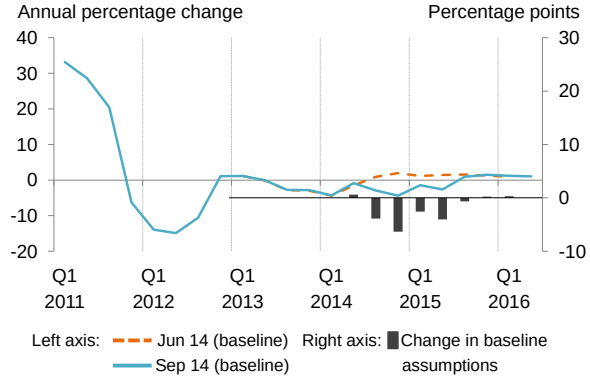
Chart 1.14 Assumptions on Dubai oil price




**Moreover, the government's policy to control domestic energy prices continued to affect cost pressure.** In this regard, the MPC revised the assumptions of domestic retail oil prices slightly downwards from the previous assessments in line with the price restructuring plan. However, the MPC maintained assumptions on the maintenance of LPG prices for households and the transportation sector along with excise tax exemption for diesel oil. These government measures were likely to cause cost pressure from energy prices to remain subdued continually.

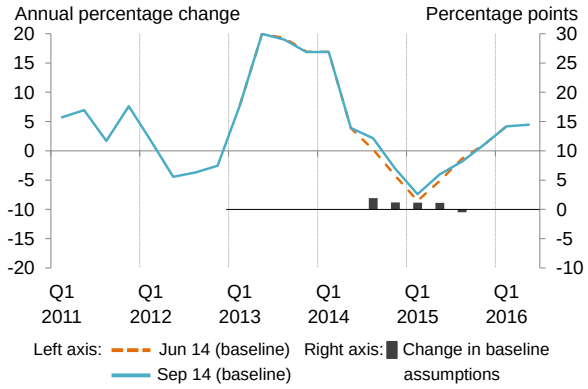
Meanwhile, **world non-fuel commodity prices** declined from the previous projections in almost all categories. **(Chart 1.15)** Food prices, in particular, were expected to decrease owing to the increase in global supply of cereals while stock remained high. On the other hand, metal prices increased marginally, due to an improvement in demand from the U.S. and a decline in supply

Chart 1.15 Assumptions on non-fuel commodity prices



especially in aluminum and copper. Looking ahead, it was expected that metal prices would rise steadily in line with a higher demand that stemmed from global economic recovery. Prices of raw materials such as rubber and cotton would also increase slightly. On the whole, however, world non-fuel commodity prices were likely to remain low in 2015 in line with food prices where the problem of excess supply persisted.

Chart 1.16 Assumptions on fresh food prices




**Domestic fresh food prices (Chart 1.16)** edged higher mainly in tandem with rice price which increased in line with higher-than-expected foreign demand. Nonetheless, prices of other food products in 2014 were likely to remain close to the previous projections. Prices of shrimp and swine were expected to trend downwards after the disease outbreaks gradually subsided. Thus, the MPC assessed that agricultural prices in 2015 would edge lower from this year.

**Looking ahead, the MPC judged that risks to inflation would be balanced.** Risks that could cause inflation to be higher than baseline case would be matched by risks that could cause inflation to be lower than baseline case. The former stemmed from the higher-than-expected pass-through during the economic recovery and LPG price hike. The latter stemmed from the lower-than-expected demand-pulled pressure should growth dip below the baseline.

### Alternative Scenarios

The MPC appraised that there were various scenarios where Thai economic growth could deviate from the baseline case. The MPC thus took these scenarios into consideration to reflect key risk factors on the Thai economy and inflationary pressure, going forward.

**Scenario 1: Thai exports grew at a lower rate due to slower-than-expected recoveries in trading partner economies as a result of geopolitical risk, greater-than-expected impact from domestic production constraints, and slower-than-expected recovery in tourism due to the political situation.** These factors would hamper production in export-oriented industries, thereby affecting employment, income and confidence of households and businesses. Households would thus become more cautious in their spending while businesses would likely postpone investment to expand production capacity. In this scenario, growth would be lower than the baseline case and inflationary pressure would decline.

**Scenario 2: Public spending was lower than assessed due to delays in project implementation and purchasing and acquisition process.** The delays would affect household and business confidence, resulting in a greater-than-expected decline in domestic spending compared to the previous projection. In this scenario, growth would be lower than the baseline case and inflationary pressure from the demand side would decline.

**Scenario 3: Private investment rebounded quicker than expected from improvement in confidence following greater clarity on public policies.** Recovery in investment would support employment and increase household income, resulting in higher private spending. In this scenario, growth would be higher than the baseline case and inflationary pressure would increase in the short-term. Potential output would also be raised in tandem with private investment and public investment in infrastructure development projects.

## 1.3 Monetary policy decision

### Monetary policy remained accommodative

In the past two meetings, the MPC voted to hold the policy rate at 2.00 percent per annum. The MPC deemed that the current accommodative monetary policy stance remained appropriately supportive of the economic recovery and implementation of structural reforms to uplift Thailand's economic potential.

In its meeting on August 6, 2014, the MPC assessed that the global economy would continue to recover gradually, especially the U.S. economy which firmed up noticeably. On the other hand, recoveries in the euro area and Japanese economies remained sluggish and required further monetary policy accommodation. The Chinese and Asian economies expanded steadily thanks to export momentum which benefited from recoveries of major economies. Meanwhile, the Thai economy in 2014 Q2 improved thanks to private spending after the political situation unwound. Merchandise exports recovered slowly and there were some delays in budget disbursement. In the latter half of the year, the economic recovery was expected to continue in line with domestic demand and the gradual increase in fiscal stimulus, especially public investment. Meanwhile, merchandise exports and tourism were likely to grow slowly. Nonetheless, price stability would be well maintained. The MPC assessed that the currently accommodative monetary policy stance would be necessary to facilitate economic recovery without affecting overall economic and financial stability, which would be supportive of the government's reform efforts to uplift Thailand's economic potential.

The Committee thus voted unanimously to maintain the policy rate at 2.00 percent per annum.

In its subsequent meeting on September 17, 2014, the MPC assessed that the global economy recovered slightly slower than expected with uneven paces of recoveries between regions. In particular, the euro area and Japanese economies remained fragile but would likely gain support from continual economic stimulus. Asian economies overall expanded close to the previous projections. For Thailand, recent economic indicators signaled improvement in spending of households, businesses and the public sector, following the rebound in confidence. The increase in spending would allow the economy to grow continually in the periods ahead. However, production constraints and the problem of low agricultural prices would hamper the prospect of merchandise exports while the tourism sector would improve slowly at first before returning to its normal trend. Meanwhile, financial stability and price stability continued to be well maintained. The MPC assessed that the currently accommodative monetary policy stance would be necessary to facilitate economic recovery without affecting financial stability. The Committee thus voted unanimously to maintain the policy rate at 2.00 percent per annum. Two members were absent from this meeting.

## 1.4 Appendix:

| Table 1.5 Forecast assumptions | | | |
|---|---|---|---|
| | 2013 | 2014 | 2015 |
| Dubai oil price (U.S. dollars per barrel) | 105.4 | 103.5 | 101.0 |
| Non-fuel commodity prices (%YoY) | -1.1 | -3.1 | -0.4 |
| Fresh food prices (%YoY) | 16.0 | 4.6 | -3.1 |
| Minimum wage in the Bangkok Metropolitan Region (baht per day) | 300 | 300 | 300 |
| Government consumption (%YoY)[1/] | 6.4 | 4.9 | 4.9 |
| Public investment (%YoY)[1/] | 0.8 | 6.9 | 13.4 |
| Fed Funds rate (% at year-end) | 0.13 | 0.13 | 1.00 |
| Trading partners' economic growth (%YoY)[2/] | 3.5 | 3.7 | 4.0 |
| Regional currencies vis-à-vis the U.S. dollar (Index)[3/] | 129.9 | 131.4 | 126.5 |

Note: [1/] Including spending on water management plans and infrastructure investment projects
[2/] Weighted by each country's share in Thailand's total exports
[3/] Appreciation against the US dollar indicated by a decrease

| Table 1.6 GDP growth forecasts by research houses | | |
|---|---|---|
| | 2014 | 2015 |
| Kasikorn Research | 2.3 | 4.0 |
| FPO[1/] | 2.0 | n.a. |
| NESDB[2/] | 1.5-2.0 | n.a. |
| Kiatnakin Bank | 1.8 | 4.0 |
| Siam Commercial Bank | 1.6 | 4.8 |
| DBS Bank | 1.6 | 4.0 |
| Tisco Securities | 1.5 | 5.3 |
| Barclays | 1.5 | 5.3 |
| BOT | 1.5 | 4.8 |
| OCBC Bank | 1.5 | 4.0 |
| HSBC | 1.4 | 5.0 |
| Capital Economics | 1.3 | 3.5 |
| JP Morgan | 1.1 | 4.2 |

Note: Compiled and published by Reuters on September 18, 2014, except:
[1/] Published on July 30, 2014
[2/] Published on August 18, 2014, with the release of GDP data for 2014 Q2
Presented in descending order of 2014's forecast

| Table 1.7 Headline inflation forecasts by research houses | | |
|---|---|---|
| | 2014 | 2015 |
| JP Morgan | 2.6 | 3.3 |
| Kiatnakin Bank | 2.6 | 2.6 |
| FPO[1/] | 2.4 | n.a. |
| OCBC Bank | 2.3 | 2.5 |
| Tisco Securities | 2.3 | 2.5 |
| NESDB[2/] | 1.9-2.4 | n.a. |
| Capital Economics | 2.2 | 2.5 |
| Siam Commercial Bank | 2.2 | 2.5 |
| BOT | 2.2 | 2.1 |
| DBS Bank | 2.1 | 3.3 |
| Kasikorn Research | 2.1 | 2.5 |
| HSBC | 2.1 | 2.4 |

Note: Compiled and published by Reuters on September 18, 2014, except:
[1/] Published on July 30, 2014
[2/] Published on August 18, 2014, with the release of GDP data for 2014 Q2
Presented in descending order of 2014's forecast

| Table 1.8 Probability distribution of GDP growth forecast | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| Percent | 2014 | | 2015 | | | | 2016 | |
| | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 |
| > 12 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 1 |
| 10-12 | 0 | 0 | 4 | 2 | 1 | 1 | 2 | 2 |
| 8-10 | 0 | 1 | 18 | 10 | 5 | 5 | 6 | 7 |
| 6-8 | 0 | 8 | 34 | 23 | 16 | 13 | 15 | 15 |
| 4-6 | 8 | 31 | 29 | 30 | 26 | 24 | 23 | 22 |
| 2-4 | 49 | 40 | 12 | 22 | 27 | 26 | 25 | 23 |
| 0-2 | 38 | 18 | 2 | 10 | 17 | 19 | 18 | 17 |
| (-2)-0 | 5 | 3 | 0 | 3 | 6 | 9 | 9 | 9 |
| < (-2) | 0 | 0 | 0 | 0 | 2 | 3 | 4 | 4 |

| Table 1.9 Probability distribution of headline inflation forecast | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| Percent | 2014 | | 2015 | | | | 2016 | |
| | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 |
| > 7 | 0 | 0 | 0 | 0 | 1 | 1 | 1 | 1 |
| 6-7 | 0 | 0 | 0 | 1 | 2 | 2 | 2 | 3 |
| 5-6 | 0 | 1 | 2 | 3 | 6 | 5 | 6 | 7 |
| 4-5 | 2 | 6 | 6 | 8 | 12 | 11 | 11 | 12 |
| 3-4 | 14 | 18 | 15 | 15 | 18 | 17 | 17 | 17 |
| 2-3 | 38 | 30 | 24 | 21 | 21 | 21 | 20 | 20 |
| 1-2 | 35 | 27 | 25 | 21 | 19 | 19 | 18 | 17 |
| 0-1 | 10 | 14 | 17 | 16 | 12 | 13 | 13 | 12 |
| (-1)-0 | 1 | 4 | 8 | 9 | 6 | 7 | 7 | 7 |
| < (-1) | 0 | 1 | 3 | 5 | 3 | 4 | 4 | 4 |

| Table 1.10 Probability distribution of core inflation forecast | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| Percent | 2014 | | 2015 | | | | 2016 | |
| | Q3 | Q4 | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 |
| > 3.5 | 0 | 0 | 0 | 0 | 0 | 1 | 1 | 1 |
| 3.0-3.5 | 0 | 1 | 1 | 1 | 1 | 2 | 3 | 4 |
| 2.5-3.0 | 4 | 7 | 5 | 4 | 5 | 6 | 8 | 9 |
| 2.0-2.5 | 28 | 22 | 16 | 11 | 12 | 14 | 15 | 16 |
| 1.5-2.0 | 47 | 35 | 27 | 20 | 20 | 21 | 21 | 20 |
| 1.0-1.5 | 19 | 25 | 28 | 25 | 24 | 23 | 21 | 20 |
| 0.5-1.0 | 2 | 8 | 16 | 21 | 20 | 18 | 16 | 15 |
| 0.0-0.5 | 0 | 1 | 6 | 12 | 12 | 10 | 9 | 9 |
| < 0.0 | 0 | 0 | 1 | 6 | 7 | 6 | 5 | 5 |

# Recent Economic Developments

# 2. Recent Economic Developments

The global economy recovered steadily, led by the U.S. economy which firmed up significantly from continued improvement in fundamentals. Euro area economies slowed down in tandem with domestic demand and exports which owed to structural problems that needed time to resolve. Meanwhile, geopolitical risk began to affect the region more noticeably. The Japanese economy picked up gradually after the consumption tax hike. Asian economies and China stabilized as steady improvement in exports helped offset a softening in domestic demand.

In 2014 Q2, the Thai economy expanded from last quarter and the same period last year, following improvements in private consumption and public expenditures after the political situation unwound. Meanwhile, investment continued to contract. However, recovery in merchandise exports remained slow and firms continued to discharge their high levels of inventories. A contraction in manufacturing activities was thus recorded overall.

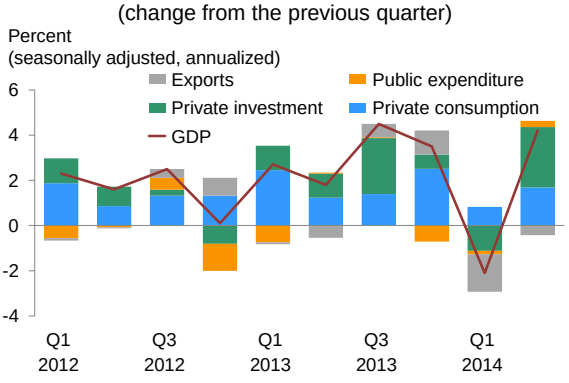
## 2.1 The global economy

The overall global economy recovered in line with the pick-up in the U.S. economy. Meanwhile, Asian economies stabilized and euro area and Japanese economies slowed down.

The U.S. economy recovered significantly despite some impact from severe weather conditions during the first quarter as fundamentals continued to pick up.

In 2014 Q2, the **U.S. economy** rebounded and grew by 4.2 percent (qoq saar, second estimate). The recovery became more broad-based as improvements were noted in private consumption and investment, exports and inventory accumulation. This development was a turnaround from the previous quarter where a

Chart 2.1 Contribution to the U.S.' GDP growth
(change from the previous quarter)




Source: Bureau of Economic Analysis

contraction of 2.1 percent was observed due to the impact of unusually cold weather. **(Chart 2.1)**

The outlook for 2014 Q3 remained bright as reflected by key leading indicators in July and August which continued to signal overall expansion. For example, the manufacturing Purchasing Manager's Index (PMI) increased favorably in tandem with the Manufacturing Production Index despite some recent slowdown in real estate activities after the strong acceleration in previous periods which in part owed to an increase in lending rates and unusually cold weather at the beginning of the year. Nonetheless, it was assessed that the U.S. economy was likely to continue expanding due to improvements in the labor market, business and consumer confidence and households' financing conditions thanks to higher asset prices, along with the continually accommodative monetary policy stance[1/].

Euro area economies recovered gradually. Though consumption in major economies grew steadily thanks to favorable economic fundamentals, geopolitical risk and structural problems in periphery countries continued to weigh on growth.

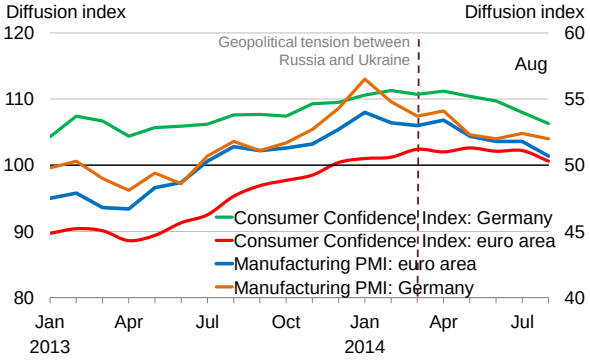
In 2014 Q2, **euro area** economies stabilized from the previous quarter with private consumption and exports as main engines of growth. Meanwhile, private investment slowed

[1/] In the meetings on September 16-17, 2014, the FOMC decided to (1) hold the fed funds rate at 0-0.25 percent per annum and signal that the rate would be maintained for some time (forward guidance) even after unemployment and inflation moved closer to targets; (2) reduce its asset purchase by 10 billion U.S. dollars to stand at 15 billion U.S. dollars per month. The amount would comprise 10 billion U.S. dollars of long-term government bonds and 5 billion U.S. dollars of Agency Mortgage-Backed Securities.

down markedly, particularly in construction after a strong acceleration was noted in the previous quarter due to warmer-than-normal temperature. This factor coupled with the high number of public holidays in May 2014[2/] led manufacturing activities to slow down. Moreover, economic conditions were negatively impacted by the geopolitical tension between Russia and Ukraine.

The outlook for 2014 Q3 was poised to slow down owing to rising tension after the EU announced additional boycotts on Russia[3/] and the latter subsequently implemented retaliation measures against western countries through a ban on food imports. The softening outlook was reflected by a number of confidence indicators namely the Consumer Confidence Index, the European Commission Sentiment Index and the Composite Output PMI. **(Chart 2.2)**

Chart 2.2 Confidence in the euro area and German economies




Source: Bloomberg

Looking ahead, it was assessed that euro area economies were likely to expand gradually, supported mainly by domestic spending especially in Germany where fundamentals remained strong. Nonetheless, some slowdowns in exports to Russia, investment and manufacturing output were to be noted due to rising geopolitical tension. Moreover, the unwinding of fiscal stimulus and lingering structural problems in periphery countries which continued to demand attention would pose

[2/] Including Labor Day, Victory Day and Ascension Day. Since these public holidays fell on Thursdays, some workers decided to take Fridays off to enjoy long weekends.

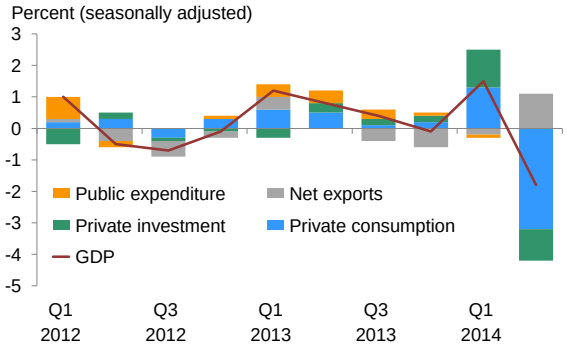
[3/] On July 29, 2014, the EU announced a ban for entry into the EU for 95 individuals and 23 corporates along with boycott measures in three areas namely arms and related material, certain energy-related equipment and technology, and new bonds, equity or similar financial instruments

a key risk to growth for the region as a whole. However, the ECB's announcement of the Targeted Long-term Refinancing Operations (TLTROs)[4/] which would begin in September was expected to help stimulate credit to some extent. In addition, the weakening euro which resulted from a reduction in interest rates and additional quantitative easing announced in September[5/] would help boost the region's exports somewhat.

In 2014 Q3, the Japanese economy picked up slowly after the significant contraction in the previous quarter in line with recoveries in private consumption and investment following the consumption tax hike.

In 2014 Q2, the **Japanese economy** contracted by 1.8 percent (qoq sa) **(Chart 2.3)** due to significant contractions in private consumption and investment following the consumption tax hike. Meanwhile, exports contracted in tandem with a slowdown in trading partner economies, particularly Asian countries. Nonetheless, the concurrent reduction of imports helped the overall external sector achieve positive contribution to growth. Moreover, a significant contraction was

Chart 2.3 Contribution to Japan's GDP growth
(change from the previous quarter)




Source: Cabinet Office of Japan

[4/] TLTROs is a credit stimulus measure under which the ECB lends to financial institutions at an interest rate of policy interest + 0.15 percent per annum for a duration of four years. The objective of TLTROs is to resolve monetary policy transmission issues and mitigate the risk of prolonged low inflation.

[5/] In the meeting on September 4, 2014, the Governing Council voted to (1) reduce interest rates across-the-board by 0.1 percent per annum, causing the refinancing rate, the ECB marginal lending rate and the ECB deposit rate to decline to 0.05, 0.2 and -0.2 percent per annum, respectively; and (2) implement additional quantitative easing measures by announcing the Asset-Backed Securities Purchase Program and Covered Bonds Purchase Program, which would begin in October 2014.

recorded for the manufacturing sector in line with contractions in both domestic and external demand

The outlook for 2014 Q3 was likely to improve gradually. Despite temporary negative impact from the typhoon which caused retail sales to contract in July, private consumption was set to improve moderately after the consumption tax hike as reflected by consumer confidence in July which came in higher than last quarter's average. Meanwhile, exports began to improve in line with the outlook of major trading partner economies especially the U.S. economy which picked up noticeably. The manufacturing sector was poised to recover steadily following the gradual pick-up in domestic and external demand. In this connection, manufacturing output in July rebounded to record a small growth vis-à-vis the average, after the significant contraction in last quarter.

Going forward, it was assessed that consumption would gradually resume growth while government stimulus and recovery in exports would bring about positive impact on growth.

In 2014 Q3, the Chinese and Asian economies (excluding Japan) expanded at a similar pace to last quarter. Exports which recovered steadily helped offset some impact of the domestic demand slowdown.

In 2014 Q2, the **Chinese economy** grew by 7.5 percent (yoy), accelerating from 7.4 percent in the previous quarter due mainly to the pick-up in investment that in part stemmed from government stimulus, for example, the expedition of infrastructure investment and measures to support the agricultural sector and SMEs. Meanwhile, exports improved and led to a shrink in trade deficit from the first quarter. The manufacturing sector also benefited

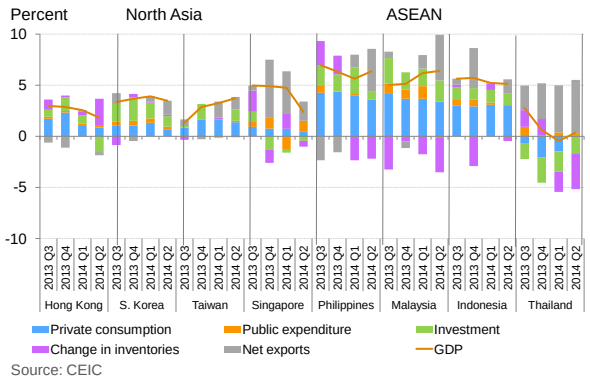
from the pick-up in exports particularly electronics and machinery in line with the increase in orders, especially from the U.S. and euro area economies.

The outlook in 2014 Q3 for the Chinese economy pointed to a marginal slowdown from the previous quarter. Export growth remained high following the firming up of U.S. economy and new model launches in the latter part of the year according to the global electronics cycle. However, domestic spending was likely to slow down. Though infrastructure investment was assessed to pick up steadily in line with continued investment acceleration measures, overall investment would still slow down mainly from investment in real estate as over supplies were noted in many provinces. Manufacturing investment was also poised to slow down due to overcapacity in many industries such as the metal and cement industries. Meanwhile, some moderation in consumption could be expected due to the impact of government measures to control spending on luxurious goods.

In this regard, the Chinese government remained committed to pursue economic reforms in order to facilitate long-term sustainable growth. Measures to curb financial risk from the growth of shadow banking businesses began to diminish lending by non-bank financial institutions. Nonetheless, the Chinese government would try to maintain short-term growth and introduce targeted stimulus measures to support certain sectors that were impacted from its reform efforts.

In 2014 Q2, **Asian economies (excluding China)** expanded at a similar pace to the previous quarter **(Chart 2.4)** thanks to the pick-up in exports. Meanwhile, domestic spending slowed down due to the elevated household debt and

Chart 2.4 Contribution to Asia's GDP growth
(change from the previous quarter)




Source: CEIC

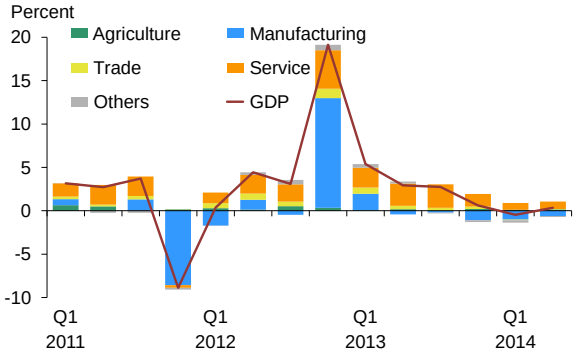
the decline in tourist income in line with notable decreases in the number of Chinese tourists in Hong Kong and Singapore. Investment also moderated, especially real estate investment, after significant accelerations were continually recorded for many years. The investment slowdown could also be attributed to stricter lending practice by financial institutions. Nonetheless, the manufacturing sector registered some improvement, especially export-oriented industries.

In 2014 Q3, it was assessed that economic activities in Asian countries would remain stable. The steady improvement in exports, especially electronics, was expected to remain a key engine of growth and help offset the impact of domestic spending slowdown. Moreover, the manufacturing sector would expand continually as reflected by the Purchasing Manager's Indices (PMI) of many countries which stayed beyond the 50 point mark for many consecutive months.

## 2.2 The domestic economy

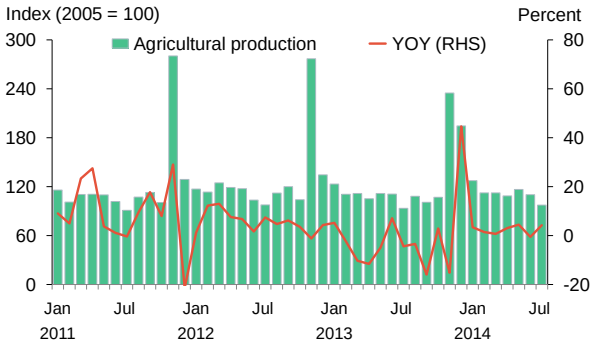
In 2014 Q2, the Thai economy expanded modestly. Improvement in private confidence helped consumption recover though investment continued to stall as businesses waited to reassess future economic prospects and government policies. Meanwhile, fiscal stimulus was able to boost the economy to only some extent. Manufacturing production and imports still contracted as firms continued to discharge inventories. Export-oriented production began to pick up in line with gradual improvement in exports.

Chart 2.5 Contribution to GDP growth
(change from the same period the previous year)



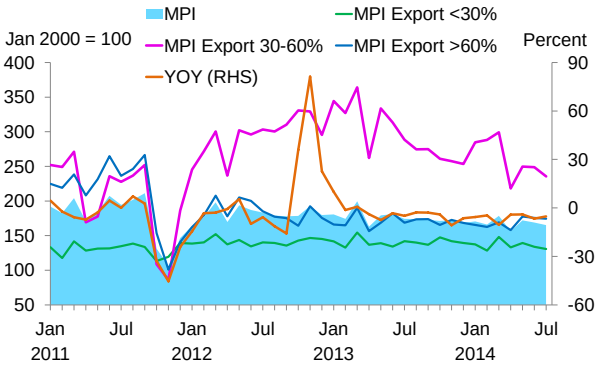

Source: Office of the National Economic and Social Development Board

Chart 2.6 Agricultural production




Sources: Office of Agricultural Economics and Bank of Thailand

Chart 2.7 Manufacturing Production Index




Source: Office of Industrial Economics, Ministry of Industry

In 2014 Q2, the Thai economy expanded modestly by 0.4 percent from the same period last year **(Chart 2.5)** due to strong growth in agricultural production. Meanwhile, manufacturing production still contracted and tourism-related services continued to be influenced by the political situation during the beginning of the quarter.

**Agricultural production** in 2014 Q2 expanded by 2.2 percent from the same period last year **(Chart 2.6)** owing to increases in output of rubber and oil palm in line with expansion in farming areas in previous periods. Off-season rice production also increased thanks to higher irrigation water availability compared to last year. Nonetheless, cassava production decreased as farmers substituted plantation with sugar cane. Shrimp production continued to be affected by the Early Mortality Syndrome (EMS). However, agricultural prices declined from the same period last year due to the government's expedition of rice stock discharge and the decline in rubber price following high global supply.

Looking ahead, it was expected that agricultural output would pick up continually from the same period last year in line with production of rubber and oil palm. However, agricultural prices were likely to decline mainly due to rubber price.

The **manufacturing production** in 2014 Q2 contracted by 1.6 percent from the same period last year. Both domestic and external demand picked up but inventories which remained high in many industries caused production to improve only marginally as reflected by a contraction in the Manufacturing Production Index in 2014 Q2 **(Chart 2.7).** Subsequently, capital utilization rate of the manufacturing sector

remained low at 60.1 percent in July 2014 **(Chart 2.8).** In this connection, domestic-oriented manufacturing production contracted in line with domestic demand due in part to the lingering political situation and reduction in automobile production following the expiration of the first car tax rebate scheme.

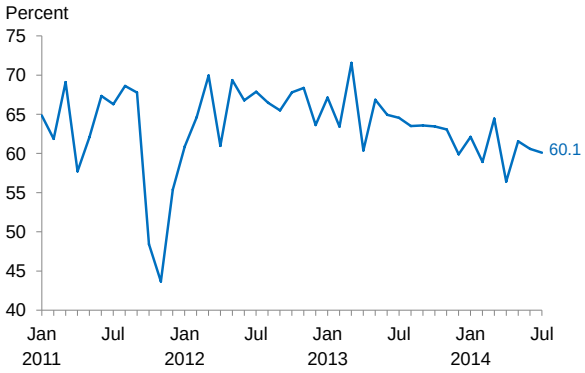
Export-oriented manufacturing production improved thanks to the increase in overseas orders for electronic equipments and Hard Disk Drives (HDD), particularly cloud computing HDD, and the short-term demand for new computer models to replace old ones. Meanwhile, production of frozen shrimp continued to contract due to supply shortage following the outbreak of EMS.

Looking ahead, manufacturing production was likely to remain stable for some time. Given that inventories remained high in many industries **(Chart 2.9)** and firms continued to discharge old stock, production increase would not yet take place despite the increase in demand.

Activities in the **trade sector** expanded modestly by 0.3 percent from the same period last year owing to household and government spending. The wholesale sectors which recorded high growth included agricultural raw material, food, fuel, and construction material. Likewise, the retail sectors which expanded well included food and beverage and department store as reflected by improvement in consumer confidence during the end of the quarter.

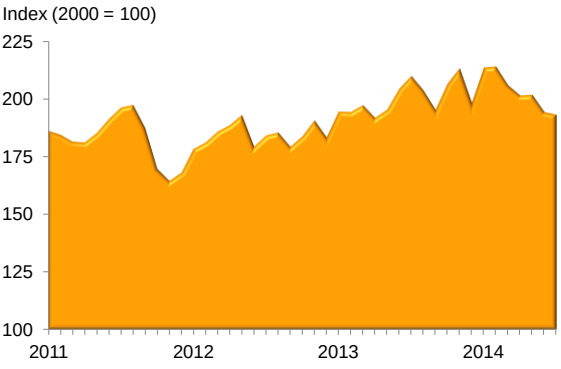
The **service sector** continued to be influenced by consumers' lack of confidence on the economic prospects and political situation. Thus, the sector expanded only modestly by 2.4 percent from the same period last year. The hotel and restaurant sector was particularly affected by

Chart 2.8 Capital utilization rate



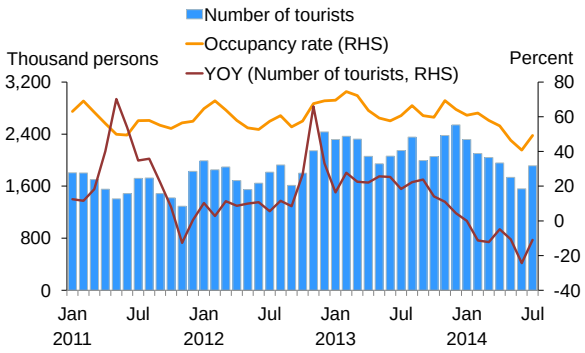

Source: Office of Industrial Economics, Ministry of Industry

Chart 2.9 Inventories




Source: Office of Industrial Economics, Ministry of Industry

Chart 2.10 Number of foreign tourists and hotel occupancy rate




Source: Department of Tourism and Bank of Thailand

the political situation as many countries raised the level of travel advisories, resulting in reductions in the number of tourists from many regions especially Asia, the U.S. and the Middle East during 2014 Q2. In this connection, occupancy rate declined to 47.4 percent, the lowest level in three years. **(Chart 2.10)**

In 2014 Q3, the number of tourists was assessed to decline from the same period last year. Looking ahead, however, the tourism sector was expected to recover gradually in tandem with improvement in sentiment and promotional measures as reflected by gradual liftings of travel advisories by some countries and the return of Asian tourists.

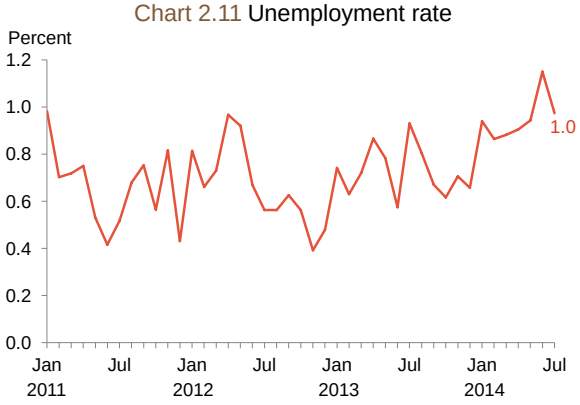
The **construction sector** contracted by 3.2 percent from the same period last year though contraction was less severe compared to the previous quarter as reflected by a pick-up in construction activities of both the public and private sectors and in line with an increase in cement sales from the previous quarter. However, capital budget disbursement which continued to lag behind especially for large projects led to an overall contraction in the public sector's construction activities.

**The real estate sector** contracted slightly by 0.7 percent from the same period last year in line with the contraction in construction activities. Such development owed to a decline in real estate-related services which resulted from developer's slowdown of new project launches to await clearer signs of economic prospects. Going forward, it was assessed that the real estate sector would pick up following improvement in consumer confidence after the political situation

gained clarity and the economic recovery gained traction.

The economic slowdown in 2014 Q2 caused employment to contract continually, particularly in the agricultural sector, following lack of incentives to increase plantation due to unfavorably low prices. Employment in the construction sector also declined. Nonetheless, tight labor market conditions and the labor shortage problem were in part responsible for causing the unemployment rate to edge up only marginally and continue to be low in 2014 Q2, stabilizing at 1.0 percent in July. **(Chart 2.11)**

Chart 2.11 Unemployment rate




Source: National Statistical Office

In 2014 Q2, domestic demand picked up **(Table 2.1)** in tandem with domestic spending, especially private and government consumption. Nonetheless, exports recovered only slowly.

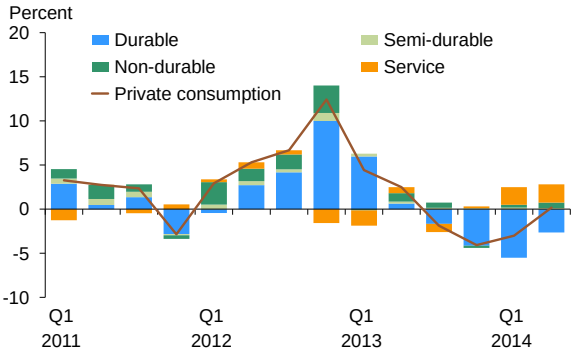
Table 2.1 GDP growth rate

| Change from the same period in the previous year (percent) | 2013 | | | | | 2014 | |
|---|---|---|---|---|---|---|---|
| | Year | Q1 | Q2 | Q3 | Q4 | Q1 | Q2 |
| **GDP** | **2.9** | **5.4** | **2.9** | **2.7** | **0.6** | **-0.5** | **0.4** |
| Domestic demand | 0.2 | 4.6 | 3.6 | -1.4 | -5.5 | -3.9 | -1.5 |
| Private consumption | 0.3 | 4.4 | 2.5 | -1.2 | -4.1 | -3.0 | 0.2 |
| Private investment | -2.8 | 2.9 | 2.0 | -3.1 | -13.2 | -7.4 | -7.0 |
| Government consumption | 4.9 | 2.9 | 7.6 | 7.3 | 0.8 | 4.2 | 1.9 |
| Pubic investment | 1.3 | 18.8 | 15.4 | -16.2 | -4.7 | -16.6 | -6.7 |
| Exports of goods and services | 4.2 | 8.3 | 2.9 | 3.8 | 2.0 | -0.5 | -0.7 |
| Goods | 0.2 | 3.7 | -1.5 | -1.4 | 0.2 | 0.8 | 1.5 |
| Services | 19.7 | 25.7 | 22.4 | 25.2 | 8.1 | -4.4 | -8.4 |
| Imports of goods and services | 2.3 | 8.1 | 4.5 | 0.8 | -3.5 | -8.6 | -9.2 |
| Goods | 1.8 | 9.5 | 4.4 | -0.5 | -5.3 | -12.0 | -10.8 |
| Services | 5.2 | 1.2 | 5.3 | 8.1 | 6.3 | 10.4 | 0.2 |

Note: 1/ Domestic demand excluding changes in inventories

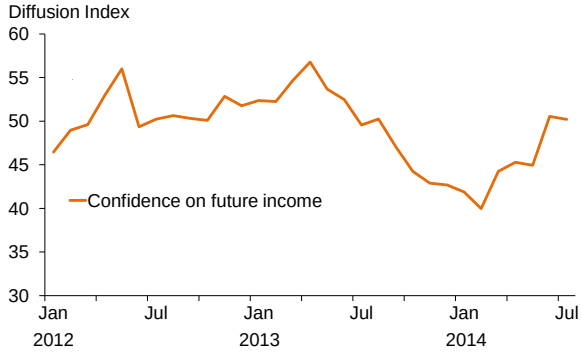
Source: National Economic and Social Development Board and calculations by Bank of Thailand

Chart 2.12 Contribution to change in private consumption
(change from the same period the previous year)



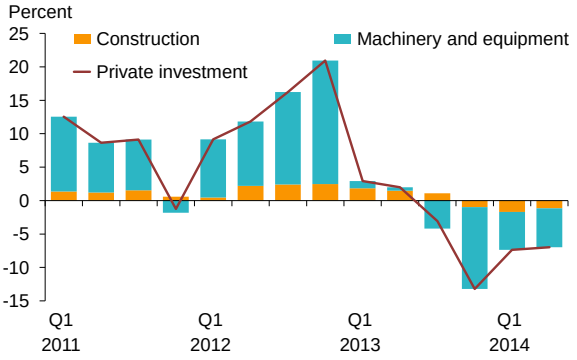

Source: National Economic and Social Development Board

Chart 2.13 Consumer confidence




Source: Ministry of Commerce

Chart 2.14 Contribution to change in private investment
(change from the same period the previous year)




Source: National Economic and Social Development Board

In 2014 Q2 and subsequently in July, **private consumption** edged up slightly from the same period last year **(Chart 2.12).** The increase in private consumption of 0.2 percent owed to the continual improvement in consumer confidence, after the political situation gained greater clarity and public policies became more concrete and expedited. Examples included the expedition of debt repayment to farmers in the rice pledging scheme, the maintenance of the value added tax and the maintenance of oil and LPG prices. With additional support from farm income which increased in line with improvement in output, purchasing power was enhanced especially in spending on semi-durables, non-durables and services. Spending on durables also recorded some improvement though it continued to contract from the same period last year. For July, private consumption continued to pick up in tandem with steady improvement in consumer confidence, resulting in a continual growth in consumption of non-durables. Meanwhile, consumption of durables began to signal improvement though a contraction was still noted given the acceleration of automobile purchase in prior periods and financial institutions' heightened lending practice to households. **(Chart 2.13)**

In 2014 Q2, **private investment** contracted by 7 percent from the same period last year **(Chart 2.14)** in line with investment in machinery and equipment and construction as most businesses decided to postpone investment to reassess future government policies and economic prospects. Nonetheless, private investment signaled some recovery as contraction became less severe in July following the resumption of investment by some firms that received the BOI's investment promotion approval and permit for factory operation

(Ror.Ngor.4) after some previous delays, coupled with improvement in business sentiment as reflected by the Business Sentiment Index (BSI).

In 2014 Q2 and subsequently in July 2014, **merchandise exports** recovered gradually. In 2014 Q2, the volume of exports grew by 1.5 percent from the same period last year **(Chart 2.15)** in tandem with exports of agricultural and manufacturing products which expanded well. For agricultural products, improvement was noted especially for rice due to a decrease in price which resulted from the government's rice stock discharge, and cassava due to rising demand from China. Manufacturing exports picked up thanks to exports of machinery, petrochemical product and electrical appliance. However, automobile exports slowed down in tandem with the decrease in demand from major trading partners, particularly Australia and Asia. Meanwhile, exports of fishery product continued to be affected by the disease outbreak in shrimp.

Chart 2.15 Contribution to change in exports of goods and services (change from the same period the previous year)




Source: National Economic and Social Development Board

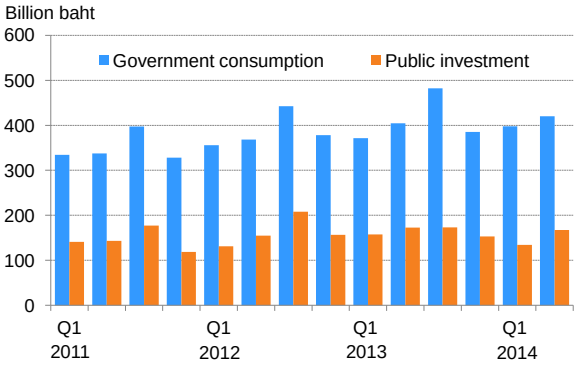
In 2014 Q2, **exports of services** contracted by 8.4 percent from the same period last year, continuing on from the first quarter in which the political situation escalated. The contraction owed to the announcement of travel advisories by many countries which affected foreign tourists' confidence and coverage of travel insurance policies. Subsequently, the number of foreign tourists continued to decline especially the majority from Asia, for example, China, Malaysia, Singapore and Japan who were generally more sensitive to political factors. However, the tourism sector began to recover in July as reflected by improvement in the number of Asian tourists following the unwinding of political tension coupled with promotional activities of both the public and private sectors.

Chart 2.16 Contribution to change in imports of goods and services (change from the same period the previous year)




Source: National Economic and Social Development Board

Chart 2.17 Public expenditure




Source: National Economic and Social Development Board

The contraction in domestic spending and sluggish recovery in exports led to a rather significant contraction of 10.8 percent in merchandise imports in 2014 Q2 **(Chart 2.16).** In particular, imports of capital goods, raw materials and intermediate goods (excluding crude oil) contracted in tandem with manufacturing activities along with private investment and merchandise exports which recovered only slowly. Meanwhile, imports of consumer goods contracted at a smaller rate due to improvement in private consumption.

In 2014 Q2, **public expenditures** declined in line with the contraction in capital expenditure as the political situation led to some delay in the purchase and acquisition process which subsequently caused budget disbursement to be less than targeted. Moreover, most non-budgetary spending was also pushed back, especially the water management project which needed additional review. Nonetheless, disbursement of current expenditure namely salaries, wages and purchases of goods and services expanded modestly. **(Chart 2.17)** Overall government revenue collection declined owing to the reduction in income tax, especially corporate income tax which owed to the economic slowdown in prior periods, the decline in automobile excise tax which followed highly accelerated sales in prior periods, and the continuous contraction in import tax due to the slowdown in merchandise imports. However, public expenditures which continued to exceed revenue collection reflected that government stimulus still retained its role in supporting economic growth in this quarter.

## 2.3 Costs and Prices

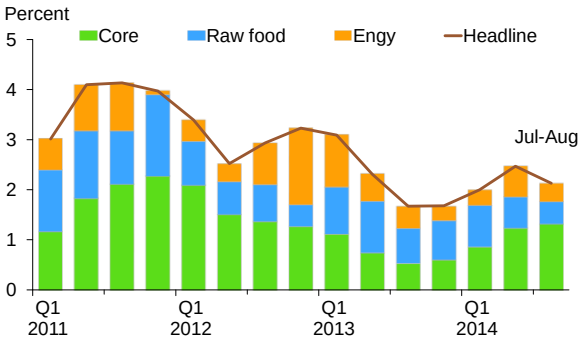
### Inflation

Headline inflation over the first two months of 2014 Q3 came in below expectation at 2.13 percent and slowed down from last quarter in line with prices of energy and raw food. The pass-through of LPG price to prepared food prices decelerated in 2014 Q2, causing core inflation to slow down. **(Chart 2.18)**

Prices of energy decelerated from the previous quarter owing to the reduction in domestic retail oil prices. The trend was consistent with that of global crude oil price which declined due to the unwinding of market concerns over the effect of geopolitical risk in oil producing countries on their exports and ultimately the global supply. Prices of raw food also slowed down continually from last quarter due to the reduction in prices of vegetables and fruits which owed to the increase in output, along with the deceleration in prices of meat, especially pork, after the disease outbreak started to unwind.

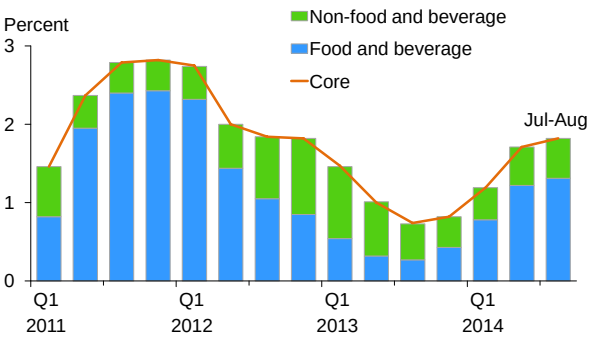
Core inflation over the first two months of 2014 Q3 came in close to projection at 1.82 percent **(Chart 2.19)** and slightly edged up from the last quarter in line with prices of food and beverage as the pass-through from LPG price to prepared food prices continued. However, the upwards adjustment of prepared food prices appeared to slow down since most firms had already increased prices in prior periods. Hence, core inflation began to decelerate. Meanwhile, prices of non-food and beverage continued to stabilize in line with costs and the slowly recovering domestic demand. **(Table 2.2)**

Chart 2.18 Contribution to headline inflation




Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

Chart 2.19 Contribution to core inflation



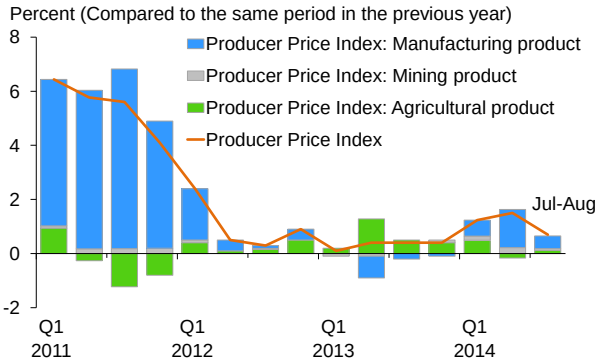

Source: Trade and Economic Index Bureau, Ministry of Commerce, and calculations by Bank of Thailand

Table 2.2 Quarterly inflation

| Unit: Percent | 2013 | 2013 | | | 2014 | | |
|---|---|---|---|---|---|---|---|
| | | Q2 | Q3 | Q4 | Q1 | Q2 | Jul-Aug |
| Percentage change from previous year (%Δyoy) | | | | | | | |
| - Headline Consumer Price Index | 2.18 | 2.32 | 1.67 | 1.68 | 2.00 | 2.47 | 2.13 |
| • Core Consumer Price Index | 1.00 | 1.00 | 0.74 | 0.82 | 1.19 | 1.71 | 1.82 |
| • Raw food | 5.54 | 6.60 | 4.48 | 5.04 | 5.34 | 3.92 | 2.82 |
| • Energy | 4.79 | 4.60 | 3.67 | 2.35 | 2.55 | 5.12 | 2.99 |
| Percentage change from previous quarter (%Δqoq) | | | | | | | |
| - Headline Consumer Price Index | - | 0.5 | 0.3 | 0.4 | 0.8 | 1.0 | - |
| • Core Consumer Price Index | - | 0.1 | 0.2 | 0.3 | 0.5 | 0.7 | - |
| • Raw food | - | 3.6 | 0.1 | 0.8 | 0.7 | 2.2 | - |
| • Energy | - | -1.5 | 1.7 | 0.0 | 2.3 | 1.0 | - |
| Percentage change from previous quarter (%Δqoq_sa) | | | | | | | |
| - Headline Consumer Price Index | - | 0.0 | 0.4 | 0.8 | 0.8 | 0.5 | - |
| • Core Consumer Price Index | - | 0.0 | 0.2 | 0.5 | 0.5 | 0.5 | - |
| • Raw food | - | 1.6 | 0.2 | 1.6 | 1.9 | 0.2 | - |
| • Energy | - | -2.0 | 2.0 | 2.0 | 0.5 | 0.8 | - |

Source: Trade and Economic Index Bureau, Ministry of Commerce, and seasonal adjusted quarter-on-quarter percentage change calculations by Bank of Thailand

Chart 2.20 Contribution to Producer Price Index




Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

## Production cost conditions

Overall production cost conditions remained benign as the Producer Price Index rose by a mere 0.7 percent during the first two months of 2014 Q3, decelerating from last quarter **(Chart 2.20)** due to prices of mining product and petroleum product which followed the declining trend in global oil price.

## Inflationary pressure in the periods ahead

Inflationary pressure in the next two quarters was likely to decline in line with the decrease in costs following the reduction in the global oil price, along with the gradual recovery in domestic demand. In addition, the pass-through of costs to prices of prepared food which had been significant in recent periods started to gradually ease and was now expected to end in 2014 Q4.

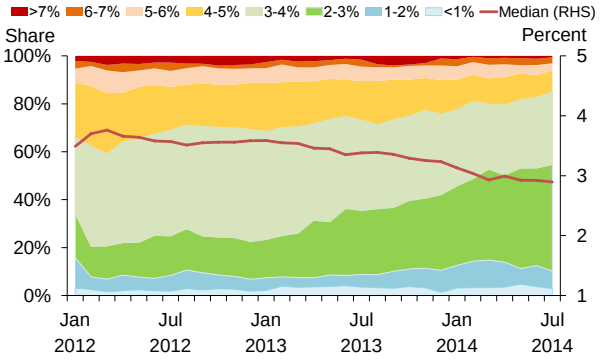
(1) Cost pressure was projected to decline slightly mainly in line with the trend in global oil price. Meanwhile, non-fuel commodity prices and fresh food prices would likely stabilize. It should be noted that the announcement of a restructuring of domestic energy prices on August 29, 2014[6/], did not lessen cost pressure by much since the reduction in prices did not apply to the types of fuel that were major inputs in the transportation and manufacturing sectors. Nonetheless, the planned restructuring of domestic energy prices to better reflect costs was likely to continue in the periods ahead. In particular, further increases in diesel oil price would likely have an effect on inflation and raise cost pressure.

(2) Demand pressure continued to be benign and was not expected to cause excess demand in the economy since recovery remained only gradual.

(3) Inflation expectation stabilized close to last quarter's level as reflected by businesses' 12-month-ahead inflation expectation in July 2014 which stood at 2.9 percent. **(Chart 2.21)**

Concerning the short-term outlook of inflation, it was assessed that headline inflation over the next two quarters would decline in line with a slowdown in 1) core inflation, owing to gradual dissipation of the pass-through of cost to prepared food prices; and 2) energy prices, particularly domestic retail oil prices, in line with the restructuring of domestic energy prices announced on August 29, 2014, coupled with the declining trend in global oil price.

Chart 2.21 12-month ahead inflation expectation
(July 2014)




Source: Bank of Thailand's Business Sentiment Survey

6/ Including reduction in Benzene 95, Gasohol 95, Gasohol 91 and Gasohol E20 by 3.9, 2.1, 1.7 and 1.0 baht per liter, respectively. Diesel oil price was increased by 0.14 baht per liter.

# Monetary and Financial Stability

# 3. Monetary and Financial Stability

Thailand's overall economic and financial stability was well maintained. Money market interest rates remained stable in line with the policy interest rate. Expansions of deposits and credits decelerated in tandem with the economy. Financial institutions' financial strength continued to be sound. Fragilities in non-financial institution sectors lessened owing to the economic recovery as reflected by improvements in household income and sales of businesses. The real estate sector also picked up in line with private confidence.

The MPC assessed that salient risks that needed to be monitored in the periods ahead included (1) monetary policy divergence between major economies which could lead to global financial market volatility; (2) geopolitical risk which could affect trading partner economies, tourism, oil prices and investor sentiment; and (3) production constraints which could affect exports and needed to be resolved to facilitate sustainable economic growth in the long-term.

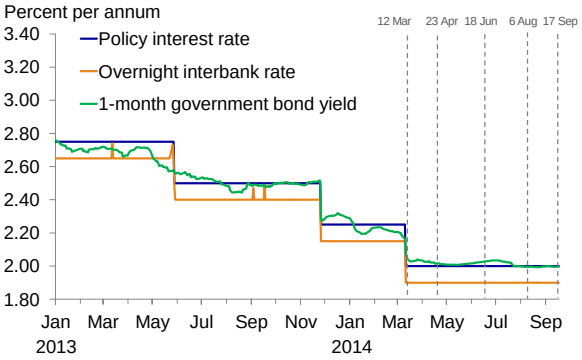
## 3.1 Financial markets

Money market interest rates remained stable in line with the policy interest rate. Government bond yields adjusted downwards overall in line with higher demand from both local and foreign investors which partly owed to improving confidence on Thailand's economic prospects.

### Money and bond markets

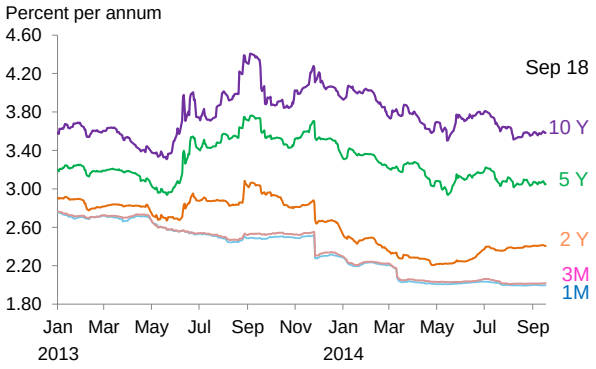
Short-term money market interest rates remained stable close to the policy interest rate in line with the MPC's decisions on August 6 and September 17, 2014, to hold the policy interest rate at 2.00 percent per annum. As of September 18, 2014, the interbank lending rate and the 1-month government bond yield stood at 1.90 and 2.00 percent per annum, respectively. **(Chart 3.1)**

Chart 3.1 Money market short-term interest rates



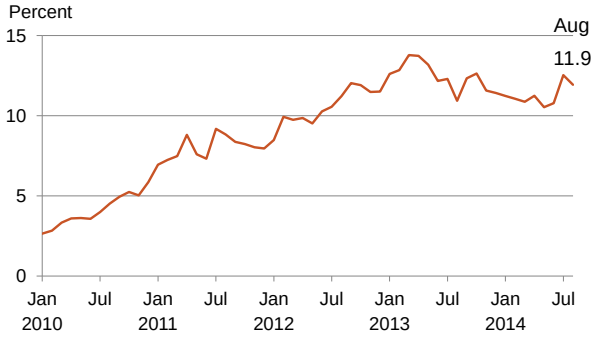

Sources: Bank of Thailand and the Thai Bond Market Association (ThaiBMA)

Chart 3.2 Government bond yields




Sources: The Thai Bond Market Association (ThaiBMA)

Chart 3.3 Foreign investors' outstanding government bond holding




Note: Including government bonds and BOT bonds
Source: Bank of Thailand

Short-term government bond yields remained quite stable. Meanwhile, medium-to long-term government bond yields decreased in tandem with higher demand from foreign investors which owed to improving confidence about Thailand's economi prospects. Demand from local investors also edged up due to replacements of maturing savings bonds. In addition, decrease in new auctions of medium-term government bonds at the end of 2014 Q3 also supported the yield drop. Overall, Thai medium-to long-term government bond yields continued to move in line with U.S. government bond yields, which edged lower, owing in part to investors' concerns over the escalating geopolical risk between Russia and Ukraine. Nonetheless, in mid-August 2014, medium-to long-term government bond yields adjusted slightly upwards due to local investors' profit-making sales following the anticipation that the Fed could begin to normalize the fed funds rate earlier than expected, given the firming up of U.S. economic data, especially labor market data. As of September 18, 2014, Thai 10-year government bond yield decreased by approximately 20 bps from the end of June 2014. **(Charts 3.2 and 3.3)**

### Equity market

The Stock Exchange of Thailand (SET) picked up continually since June 2014 as investor confidence returned thanks to greater clarity on the political situation and public policy direction. Nonetheless, some volatility was experienced due to external factors such as the geopolitical risk between Russia and Ukraine and Argentina's default. However, foreign investors began to return to the Thai market from July 2014 onwards during which net sales amounted to 16.2 billion baht. Additional thrust also came from institutional investors. As a result, the SET Index rose from

1,486 points in June 2014 to 1,562 points in August 2014. **(Chart 3.4)**

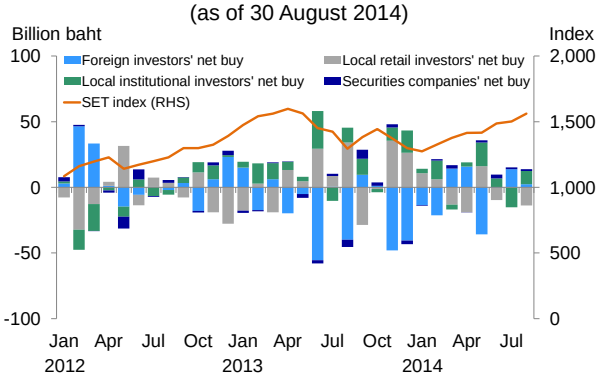
Salient risks to keep abreast in the periods ahead included the increase in the fed funds rate and the worsening outlook of geopolitical tension between Russia and Ukraine. Thailand's economic prospects in the latter half of the year could also lead to some volatility in the SET Index.

### Foreign exchange market

The Thai baht depreciated slightly against the U.S. dollar towards the end of 2014 Q3 as the market assessed that the Fed would begin normalizing the fed funds rate sooner than expected. **(Chart 3.5)** For the whole quarter, however, the Thai baht appreciated from last quarter and was less volatile relative to major and regional currencies. **(Charts 3.6 and 3.7)**

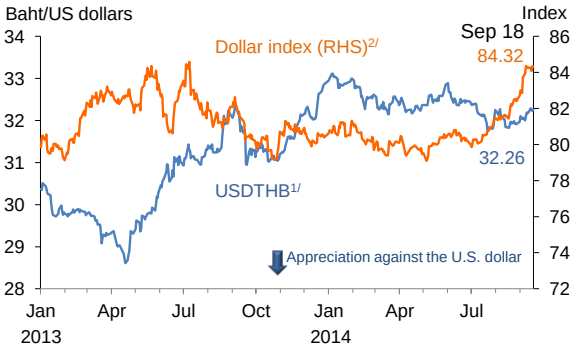
The appreciation of the Thai baht in 2014 Q3 owed mainly to (1) the improvement in investor confidence regarding the Thai economic prospects after the political situation and public policy direction gained more clarity; and (2) the ongoing implementation of accommodative monetary policy by major economies. While there was n o signal for the timing of interest rate increase in the U.S., the ECB lowered the policy interest rate further and announced an asset purchase plan for the next periods. Meanwhile, the Japanese economy trended downwards and the government was likely to introduce further economic stimulus measures. Hence, foreign investors gradually returned to invest in Thailand after a period of outflows due to the political tension. The Thai baht, thus, strengthened especially against major currencies such as the U.S. dollar, the euro and the Japanese yen, as reflected by an increase in the Nominal Effective Exchange Rate (NEER)

Chart 3.4 The Stock Exchange of Thailand index
(as of 30 August 2014)



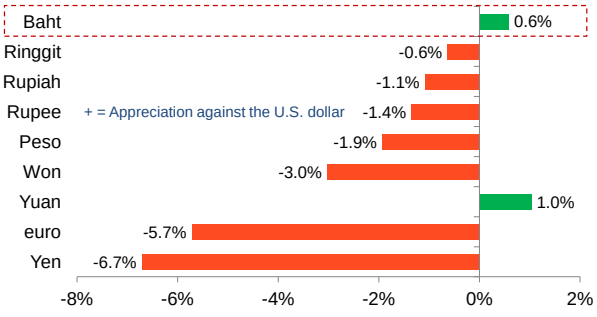

Source: The Stock Exchange of Thailand

Chart 3.5 Exchange rate and trade-weighted dollar index




Sources: 1/ Bank of Thailand
2/ Bloomberg

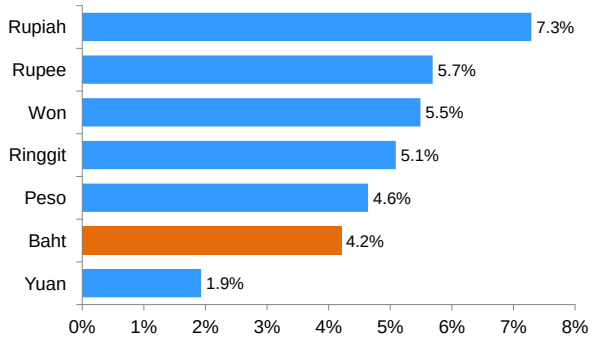
Chart 3.6 Currency movements against the U.S. dollar




Note: As of September 18, 2014

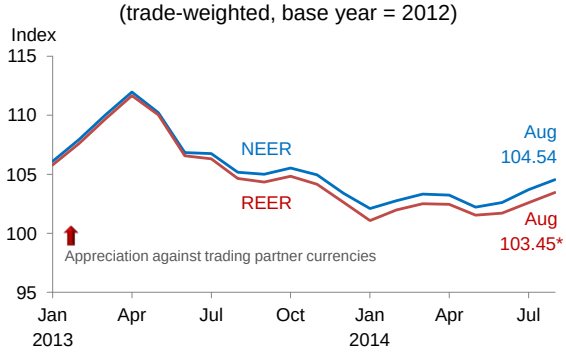
Source: Bank of Thailand and Reuters

Chart 3.7 Average volatility
(Year to September 18, 2014)




Sources: Bank of Thailand and Reuters

Chart 3.8 NEER and REER
(trade-weighted, base year = 2012)




Note: *Preliminary data using NEER in August 2014 and inflation in July 2014
Source: Bank of Thailand

which stood at 104.54 in August 2014, appreciating by 1.9 percent from the end of last quarter. **(Chart 3.8)** Meanwhile, preliminary data on the Real Effective Exchange Rate[1/] (REER) recorded at 103.45 in August 2014, strengthening in line with the NEER. In this regard, the NEER and REER both returned to their previous levels before the political situation in November 2013.

Towards the end of the quarter, the Thai baht depreciated slightly as the market assessed that the Fed would begin normalizing the fed funds rate earlier than expected, causing the U.S. dollar to appreciate against major and regional currencies. As of September 18, 2014, the Thai baht stood at 32.26 baht per U.S. dollar, appreciating by 0.6 percent from the end of last quarter. Looking ahead, there was potential for monetary policy divergence to occur in major economies given that the U.S. economy was likely to firm up while euro area and the Japanese economies continued to slow down. This development could result in higher volatility in the global financial market.

## 3.2 Financial institutions

During July – August 2014, deposit and loan rates of the four largest commercial banks stabilized from the end of 2014 Q2. Meanwhile, private credits and deposits slowed down continually but there was signal of some increase in competition for deposits towards the end of the quarter to support higher demand for credits that was expected to follow the economic recovery.

[1/] Overall price level in Thailand was less than its trading partner economies, therefore, REER was lower than NEER.

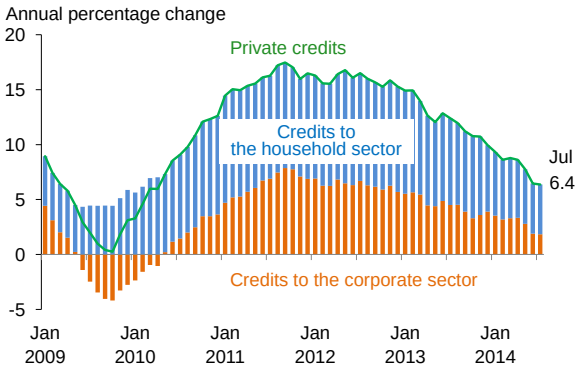
## Interest rates, credits and deposits

Deposit rates of the four largest commercial banks[2/] during July – August 2014 stabilized from the end of 2014 Q2. At the end of August 2014, interest rates on the 12-month deposits of the four largest commercial banks recorded at 1.73 percent per annum. Nonetheless, many commercial banks and SFIs began to mobilize deposits by introducing special deposit products since June 2014, partly to support higher demand for credits which was expected to follow the economic recovery.

The average Minimum Lending Rate (MLR) of the four largest commercial banks stood at 6.75 percent per annum, unchanged from the end of 2014 Q2.

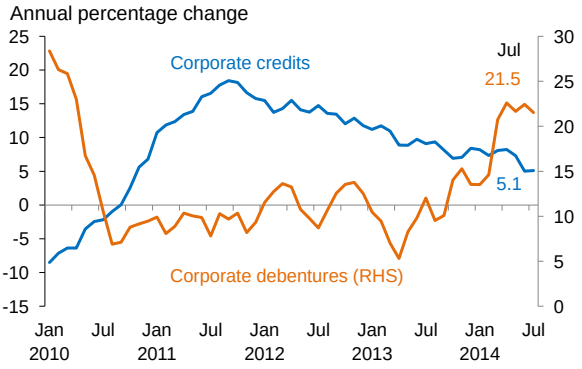
Growth in other depository corporations' private credits continued to decelerate in 2014 Q2. At the end of July, private credits expanded by 6.4 percent from the same period last year, slowing down from 8.8 percent recorded at the end of the first quarter **(Chart 3.9)** in line with both household and corporate credits due to low demand and somewhat tighter credit standards. Credit to household sector slowed down mostly in line with auto leasing. Meanwhile, corporate credits slowed down as businesses postponed investment in order to reassess futuere economic prospects. A number of large corporates also moved to raise funds by issuing corporate debentures in order to lock-in interest rates. **(Chart 3.10)** In this connection, overall monetary conditions continued to be accomodative and did not impose restrictions on business operations. **(Chart 3.11)**

Chart 3.9 Other Depository Corporations' private credits



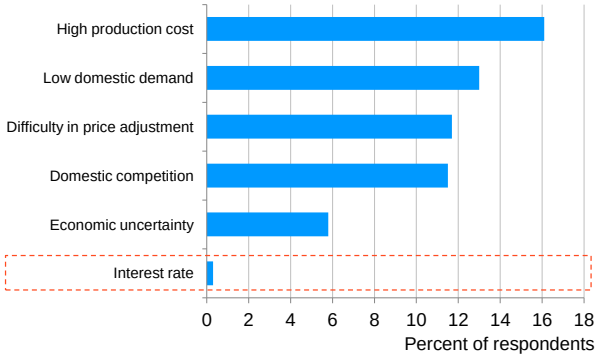

Source: Bank of Thailand

Chart 3.10 Corporate debentures and corporate credits




Sources: Bank of Thailand and ThaiBMA

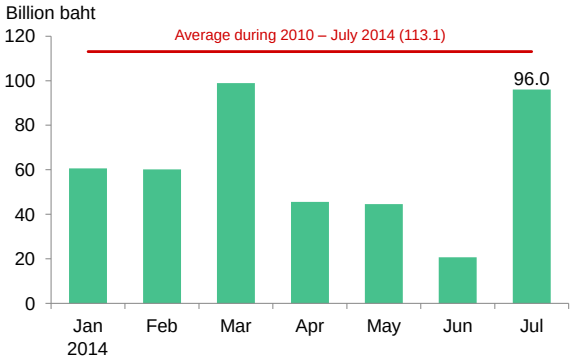
Chart 3.11 Number 1 restrictions in business operations




Source: Bank of Thailand's survey of business sentiment

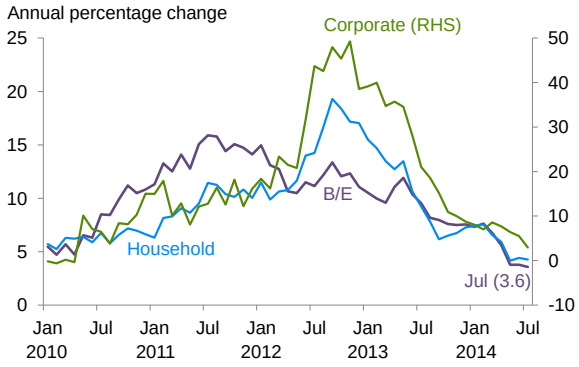
[2/] BBL, KTB, KBANK and SCB

Chart 3.12 New loans (seasonally adjusted)



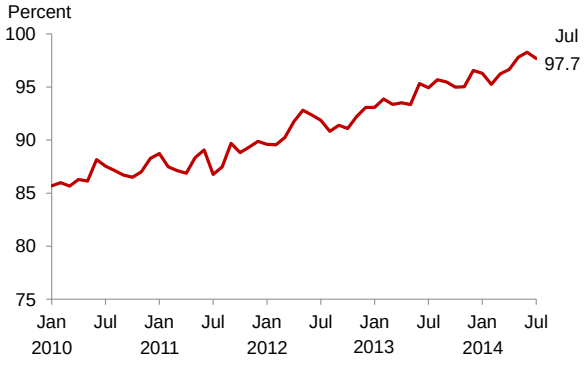

Source: Bank of Thailand

Chart 3.13 Other Depository Corporations' deposits




Source: Bank of Thailand

Chart 3.14 Commercial banks' loan to deposit and B/E ratio




Source: Bank of Thailand

In addition, there was some increase in new private credits in July 2014 **(Chart 3.12)** in part due to gradual increase in demand for credits coupled with SFIs' credit stimulus measures. Looking ahead, it was anticipated that private credits was likely to expand in tandem with the gradual economic recovery. Nonetheless, financial institutions were expected to maintain high credit standards in order to reassess future economic prospects.

In 2014 Q2, deposits and bills of exchange (B/E) continued to moderate. At the end of July, deposits and B/E expanded by 3.6 percent from the same period last year, slowing down from 6.8 percent recorded at the end of 2014 Q1 **(Chart 3.13)**, owing to the slow down in both consumer and corporate deposits which followed the trend in private credits. Moreover, savers also reallocated their savings to invest in higher-return assets as deposit rates were unattractively low. Nonetheless, towards the end of the quarter, competition for deposits through launches of special deposit products increased slightly due to higher demand for credits that was expected to follow the economic recovery. Overall, growth in private credits continued to be higher than deposits, resulting in a small increase in the Loan to Deposits and B/E Ratio (LDR) from 96.2 percent at the end of 2014 Q1 to 97.7 percent at the end of July 2014. **(Chart 3.14)** Going forward, it was deemed that competition for deposits would rise continually in order to match the expected higher demand for credits. **(more details in Box: Liquidity and its implications on commercial banks' deposit mobilization)**

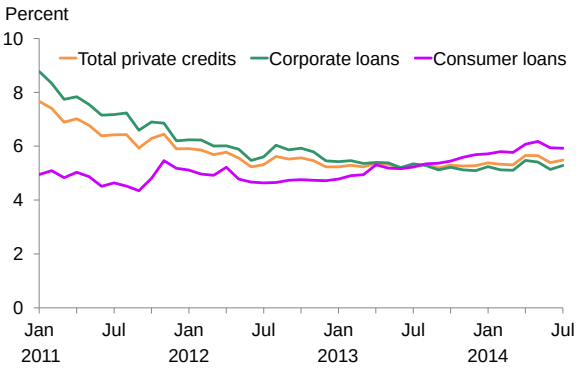
## Stability of financial institutions

Stability of financial institutions in 2014 Q2 remained sound. Despite some impact of the economic slowdown which caused private credits growth to decelerate and loan quality to deteriorate, provisioning for loss and doubtful loans continued to be high to absorb potential uncertainties.

In 2014 Q2, commercial bank profitability improved from the first quarter. Operating profit increased from a decline in interest payment which owed to lower competition for deposits following a slowdown in both corporate and consumer credits. As a result, net profit rose slightly from 50.5 billion baht at the end of last quarter to 59.8 billion baht this quarter. **(Table 3.1)**

Stability of financial institutions remained sound overall. The Capital Adequacy Ratio remained high at 15.9 percent, increasing from 15.5 percent at the end of last quarter. Moreover, commercial banks continued to increase provisioning for loss and doubtful loans in order to absorb the impact of potential uncertainties. In this regard, the ratio of actual loan loss provision to regulatory loan loss provision stood highly at 169.2 percent at the end of 2014 Q2. However, there was some signal of deterioration in loan quality which owed primarily to consumer loans. In this connection, the delinquency and NPL ratio of consumer loans rose from 5.8 to 6.0 percent. **(Chart 3.15)**

Chart 3.15 Delinquency and NPL ratio




Source: Bank of Thailand

## 3.3 Non-financial sectors

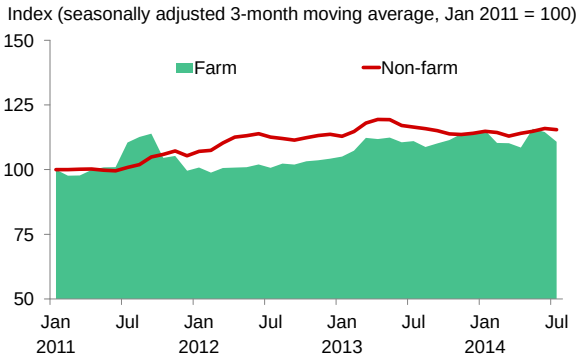
Fragilities in the non-financial sectors reduced as the economy was expected to pick up. Improvement in outlook was reflected by recoveries in household income and business sales. Meanwhile, the real estate sector recovered in line with private confidence. Debt servicing ability of households remained an important risk to monitor in the periods ahead while risk of the real estate sector was not yet a concern.

### Household sector

Debt service burden of households continued to be high and resulted in some deterioration in the quality of consumer loans. However, improvement in the economic outlook gradually benefited household income, particularly non-farm households, and helped mitigate fragilities on the whole.

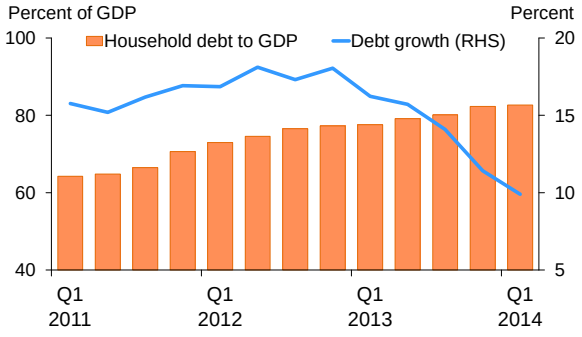
Overall employment conditions were strong where the umemployment rate in 2014 Q2 remained low at 1.0 percent. Recent recovery in economic conditions led to greater household confidence and while farm-income continued to decline in line with contractions in agricultural prices, non-farm income began to pick up steadily. **(Chart 3.16)** Improvement in non-farm income helped support recovery of household consumption, particularly, that of non-durables which began to accelerate. In this regard, households continued to be careful in new debt accumulation while financial institutions remained cautious in extending consumer credits. Thus, growth in household debt decelerated continually from 11.4 percent at the end of 2013 to 9.9 percent at the end of 2014 Q1. **(Chart 3.17)** Nonetheless, household liquidity continued to be

Chart 3.16 Real income (including O/T)




Source: Office of Agricultural Economics and calculation by Bank of Thailand

Chart 3.17 Ratio of household debt* to GDP



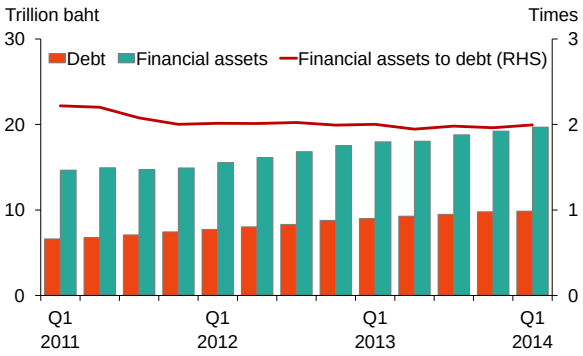

Note: *Loans to households from financial institutions

Source: Bank of Thailand

high overall as reflected by the ratio of household financial assets to household debt which stabilized at 2. **(Chart 3.18)**

Debt servicing abiity of households deteriroated slightly in this quarter in part due to the elevated household debt which accumulated significantly in prior periods. In this regard, the delinquency and NPL ratio of consumer loans rose from 5.8 percent at the end of 2014 Q1 to 6.0 percent at the end of 2014 Q2, mainly due to auto leasing and other personal loans. **(Table 3.1)** Looking ahead, debt servicing ability of households continued to warrant close monitoring, especially low-income households which generally had higher debt burden than other groups.

Chart 3.18 Ratio of financial assets to debt*



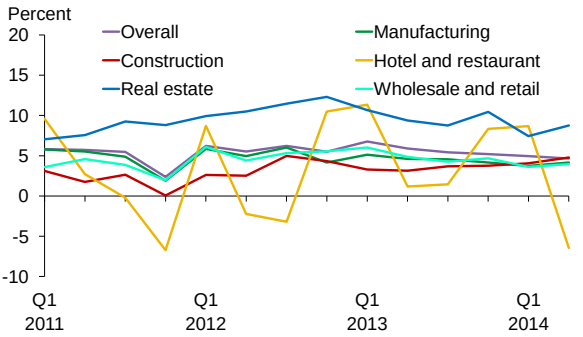

Note: *Loans to households from financial institutions
Source: Bank of Thailand

### Corporate sector

In 2014 Q2, corporate profitability (especially that of Small and Medium Enterprises; SMEs) became more evidently impacted by the economic slowdown, though implications were contained in certain manufacturing sectors. However, overall stability of the corporate sector was well maintained and some sectors such as the real estate and manufacturing sectors, already resumed growth at the end of the quarter.

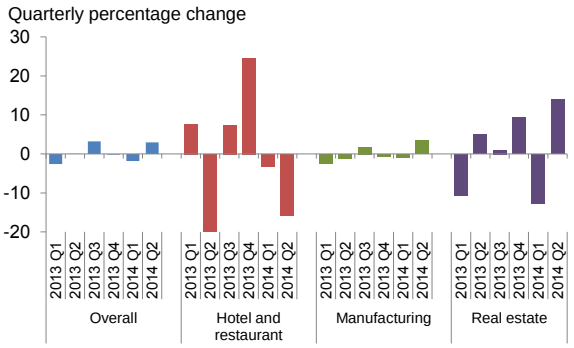
Corporate profitability in 2014 Q2 declined slightly from last quarter as reflected by the Net Profit Margin (NPM) which decreased from 5.0 percent in 2014 Q1 to 4.7 percent in this quarter. **(Table 3.1)** In particular, tourism-related industries such as the hotel and restaurant industries, were significantly affected by the political situation coupled with the fact that the period was low-season. **(Chart 3.19)** It should be noted that after the political situation unwound at the end of 2014 Q2, signs of recovery were already noted in the manufacturing and real estate sectors as reflected

Chart 3.19 Net Profit Margin (NPM) of non-financial companies listed on the stock exchange*




Note: *Median
Sources: Stock Exchange of Thailand and calculations by Bank of Thailand

Chart 3.20 Corporate sales growth*




Note: *Median

Sources: Stock Exchange of Thailand and calculations by Bank of Thailand

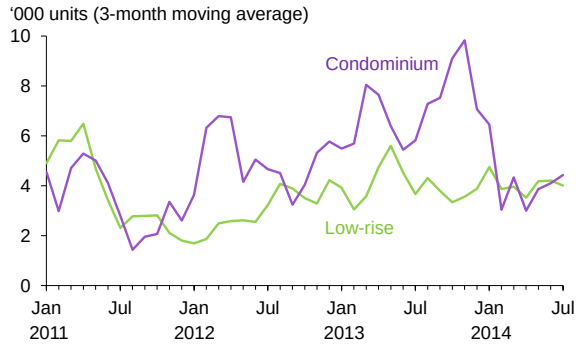
by improvements in sales by 3.4 and 14.0 percent, respectively. **(Chart 3.20)**

Overall stability of the corporate sector was well maintained. Retained earnings continued to be higher than its 10-year average. Corporate debt and liquidity was also well guarded where the Debt to Equity (D/E) Ratio and the Current Ratio (CR) in 2014 Q2 registered at 0.8 and 1.5, respectively, staying close to their 10-year averages. Looking ahead, it was expected that stability of the corporate sector would improve following the economic recovery during the latter half of the year.

### Real estate sector

Real estate markets in Bangkok and its vicinities started to recover in line with private confidence which rebounded due to improvement in economic conditions and political situation. In the short-term, however, risk of the real estate sector was not yet a concern.

Chart 3.21 Number of new launches in Bangkok and its vicinity*

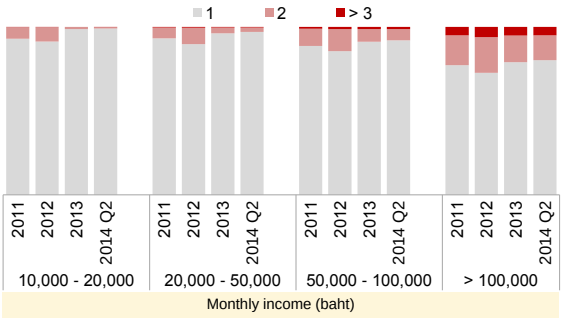



Source: Agency for Real Estate Affairs (AREA) and calculations by Bank of Thailand

Real estate activities started to pick up since the end of 2014 Q2 both in terms of demand and supply, in line with private confidence which rebounded due to improvement in economic conditions and political situation. The improvement was reflected by a continual increase in the number of new launches especially in condominiums **(Chart 3.21)**, in line with the unit reservation rate (3-month moving average) which rose from the record-low of 15 percent in February to 20 percent in July 2014. Most of this increase stemmed from pent-up demand from the beginning of the year, particularly for condominiums, as buyers postponed purchases previously to reassess future economic prospects and political direction.

Over the short-term, risk that low interest rates would induce speculative real estate activities was not yet a concern. In this regard, the proportion of additional home mortgages (non-first home) in 2014 Q2 continued to stabilize from the end of last year **(Chart 3.22)** as buyers remained cautious in their spending and new debt accumulation while financial institutions continued to apply high credit standards. As a result, the Debt Service Coverage Ratio (DSCR) in July 2014 remained close to its 5-year average of 4.4. **(Chart 3.23)**

Chart 3.22 Commercial Banks' Mortgages Classified by Number of Properties Held by Borrowers*

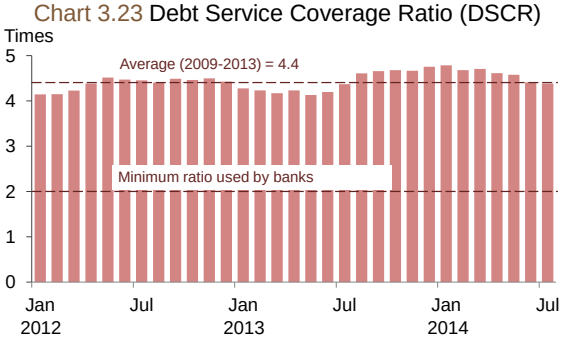



Note: *Mortgages for new and pre-owned properties from Jan 2008 – Jun 2014, calculated using a rolling window of 3 years and then comparing the number of borrowers in the third year of each window

Source: Bank of Thailand

Going forward, the real estate sector was poised to recover steadily in tandem with the economy. The outlook was in line with financial institutions' assessment that demand for new mortgages would increase. Nonetheless, in the short-term, risk of a real estate bubble was not great.

Chart 3.23 Debt Service Coverage Ratio (DSCR)




Note:
(1) DSCR = monthly income/monthly debt payment (principal and interest)
(2) Calculated for new mortgages in Bangkok and its vicinity
(3) 50th percentile (3-month moving average)
(4) Includes only debt services for new mortgages by commercial banks

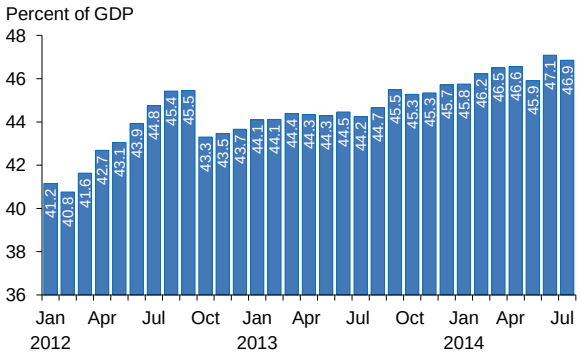
Source: Bank of Thailand

## Fiscal sector

Stability of the fiscal sector continued to be sound. The high level of treasury balance helped cushion the impact of lower-than-targeted revenue collection. Meanwhile, the ratio of public debt to GDP edged up slightly but remained comfortably below the threshold of concern. Looking ahead, a fiscal reform, both in terms of revenue and expenditure, would help enhance stability of Thailand's fiscal sector in the long-term.

**Stability of the fiscal sector continued to be sound owing to the followings. 1) The high level of treasury balance helped cushion the impact of lower-than-targeted revenue collection.** At the end of July 2014, treasury balance stood at 346 billion baht. While treasury balance declined from the same period last year, it was in part due to the fact that revenue collection

Chart 3.24 Public Debt to GDP




Note: Calendar year
Source: Public Debt Management Office

over the first 10 months of the fiscal year was 132 billion baht below target due to the economic slowdown and the postponement of increase in excise tax for diesel oil. Nonetheless, this level of treasury cash balance was judged to be high enough to provide reserve for the government in necessary times. In addition, the restructuring of domestic retail oil price in August 2014 which called for an increase in excise tax for diesel oil and a decrease for benzene oil. With higher usage of diesel oil), it was expected to improve revenue collection slightly; and **2) the ratio of public debt to GDP edged up slightly** from 45.9 percent in May 2014 to 46.9 percent in July 2014 but remained lower than the fiscal sustainability threshold **(Chart 3.24)**. The increase in debt was due mainly to borrowings to fund debt repayment to farmers in the rice pledging scheme.

Looking ahead, a fiscal reform on revenue by increasing the income tax base, and on expenditure by implementing a sound auditing system especially for non-budgetary expenditure, would help enhance stability of Thailand's fiscal sector in the long-term.

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability

| Indicators | 2013 | 2013 | | | 2014 | | | |
|---|---|---|---|---|---|---|---|---|
| | | H1 | Q3 | Q4 | Q1 | Q2 | Jul | Aug |
| 1. Financial markets sector | | | | | | | | |
| Bond market | | | | | | | | |
| Bond spread (10 years–2 years) | 1.0 | 0.8 | 1.1 | 1.2 | 1.5 | 1.4 | 1.3 | 1.2 |
| Equity market | | | | | | | | |
| SET Index (End of period) | 1,298.7 | 1,451.9 | 1,383.2 | 1,298.7 | 1,376.3 | 1,376.3 | 1,414.9 | 1,415.7 |
| Actual volatility (SET Index)[1/] | 19.8 | 20.8 | 26.1 | 19.8 | 18.0 | 12.9 | 10.2 | 11.0 |
| Price to Earnings Ratio (times) | 16.6 | 17.8 | 15.7 | 15.2 | 14.8 | 15.3 | 16.4 | 16.4 |
| FX market | | | | | | | | |
| Actual volatility (baht) (% annualize)[2/] | 6.2 | 6.1 | 7.9 | 4.4 | 4.6 | 5.0 | 3.8 | 3.6 |
| Nominal effective exchange rate (NEER) | 107.0 | 108.9 | 105.6 | 104.6 | 102.7 | 103.3 | 103.2 | 102.2 |
| Real effective exchange rate (REER) | 106.5 | 108.5 | 105.1 | 103.9 | 101.8 | 102.5 | 102.4 | n.a. |
| 2. Financial institutions sector[3/] | | | | | | | | |
| Minimum lending rate (MLR)[4/] | 6.8 | 7.0 | 7.0 | 6.8 | 6.8 | 6.8 | 6.8 | 6.8 |
| 12-month fixed deposit rate[4/] | 2.2 | 2.4 | 2.5 | 2.2 | 1.7 | 1.7 | 1.7 | 1.7 |
| Capital adequacy | | | | | | | | |
| Regulatory capital to risk-weighted asset (%) | 15.7 | 15.7 | 16.5 | 15.7 | 15.5 | 15.9 | | |
| Earnings and profitability | | | | | | | | |
| Net profit (billion baht) | 203.8 | 100.4 | 54.4 | 49.0 | 50.5 | 59.8 | | |
| Return on assets (ROA) | 1.32 | 1.32 | 1.40 | 1.23 | 1.26 | 1.48 | | |
| Liquidity | | | | | | | | |
| Loan to deposit and B/E | 96.6 | 95.3 | 95.5 | 96.6 | 96.2 | 98.3 | | |
| 3. Household sector | | | | | | | | |
| Financial assets to debt (times) | 2.0 | 1.9 | 2.0 | 2.0 | 2.0 | | | |
| NPL and delinquency ratio (%) | | | | | | | | |
| Thai commercial banks : | | | | | | | | |
| Consumer loans | 5.7 | 5.2 | 5.4 | 5.7 | 5.8 | 6.0 | | |
| Mortgage loans | 3.9 | 3.7 | 3.7 | 3.9 | 3.8 | 3.8 | | |
| Auto leasing | 9.4 | 8.5 | 8.8 | 9.4 | 9.9 | 10.5 | | |
| Credit cards | 4.7 | 4.6 | 4.9 | 4.7 | 5.3 | 5.5 | | |
| Other personal loans | 4.6 | 3.9 | 4.2 | 4.6 | 4.8 | 5.0 | | |
| 4. Non-financial corporate sector [5/] | | | | | | | | |
| Operating profit margin (%) | 5.8 | 6.3 | 5.4 | 5.2 | 5.0 | 4.7 | | |
| Debt to equity ratio (times) | 0.8 | 0.8 | 0.8 | 0.8 | 0.8 | 0.8 | | |
| Income coverage ratio (times) | 6.4 | 6.6 | 6.9 | 5.6 | 6.2 | 5.9 | | |
| Current ratio (times) | 1.5 | 1.5 | 1.5 | 1.5 | 1.6 | 1.5 | | |

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability (cont.)

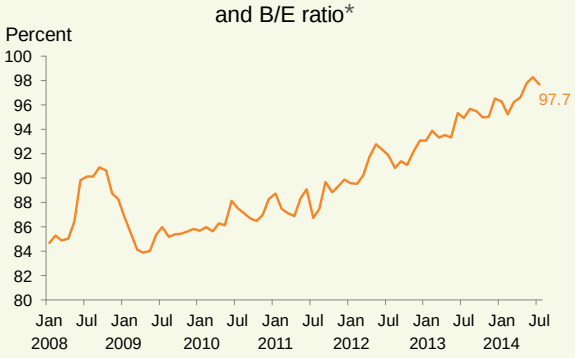
| Indicators | 2013 | 2013 | | | 2014 | | | |
|---|---|---|---|---|---|---|---|---|
| | | H1 | Q3 | Q4 | Q1 | Q2 | Jul | Aug |
| 5. Real estate sector | | | | | | | | |
| The number of approved mortgages from banks (Bangkok and its vicinity) | 71,701 | 34,936 | 17,156 | 19,609 | 12,880 | 16,315 | 4,733 | n.a. |
| Single-detached and semi-detached houses | 18,353 | 9,581 | 4,320 | 4,452 | 3,331 | 4,206 | 1,240 | n.a. |
| Townhouses and commercial buildings | 25,261 | 13,052 | 5,761 | 6,448 | 4,784 | 5,921 | 1,674 | n.a. |
| Condominiums | 28,087 | 12,303 | 7,075 | 8,709 | 4,765 | 6,188 | 1,819 | n.a. |
| The number of new openings (Bangkok and its vicinity) | 131,550 | 64,760 | 33,953 | 32,837 | 24,883 | 24,911 | 6,425 | n.a. |
| Single-detached and semi-detached houses | 17,226 | 8,901 | 4,171 | 4,154 | 4,392 | 5,351 | 871 | n.a. |
| Townhouses and commercial buildings | 30,074 | 15,394 | 7,208 | 7,472 | 7,499 | 7,261 | 1,837 | n.a. |
| Condominiums | 84,250 | 40,465 | 22,574 | 21,211 | 12,992 | 12,299 | 3,717 | n.a. |
| Housing price index[6/] | | | | | | | | |
| Single-detached houses (including land) | 111.5 | 109.4 | 114.5 | 112.9 | 114.7 | 115.5 | 116.9 | n.a. |
| Townhouses (including land) | 121.3 | 118.6 | 123.8 | 124.3 | 125.7 | 128.6 | 130.9 | n.a. |
| Condominiums | 141.7 | 140.2 | 144.4 | 142.0 | 146.2 | 153.1 | 156.5 | n.a. |
| Land | 138.3 | 134.8 | 137.4 | 146.2 | 145.9 | 148.3 | 148.5 | n.a. |
| 6. Fiscal sector | | | | | | | | |
| Public debt to GDP (%) | 45.7 | 44.5 | 45.5 | 45.7 | 46.5 | 47.1 | 46.9 | n.a. |

[1/] Daily volatility (using exponentially weighted moving average method)
[2/] Annualized standard deviation of return
[3/] Based on data of all commercial banks
[4/] Average value of 4 largest Thai commercial banks
[5/] Only listed companies on SET (median)
[6/] Based on data of new approvals by commercial banks using hedonic regression method (January 2010 = 100)
(Due to the fact that the structure of the housing market has changed significantly, the Bank of Thailand is currently improving the price index to better reflect the structure change)

# Liquidity and its implications on commercial banks' deposit mobilization

For many years, the Loan-to-Deposit Ratio (LDR) have risen continually, **(Chart 1)** leading to the question of whether if liquidity has tightened and subsequently, if there is a need for commercial banks to adjust deposit mobilization strategy. This article aims to shed light on liquidity conditions and outlook together with its impact on commercial banks' deposit mobilization and monetary policy transmission.

Chart 1 Commercial banks' loan to deposit and B/E ratio*




Note: *Including Thai and foreign commercial banks
Source: Bank of Thailand

## Liquidity assessment

The LDR compares the volume of loans to deposits, which is the main source of funds of commercial banks. An increase in the LDR signals that commercial banks lend more than it can raise funds. Hence, many people are concerned that a continual decrease in the LDR may imply that commercial banks do not possess adequate liquidity to extend credits in future periods.

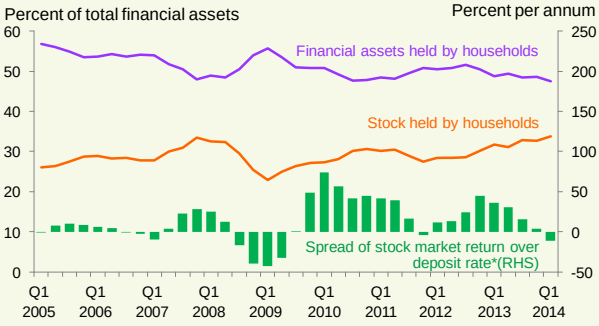
In practice, commercial banks consider many factors when conducting liquidity assessment, namely 1) quantity and quality of liquid assets whereby highly liquid assets have more potential to absorb outflows vis-à-vis other asset types; 2) deposit structure which dictates the quantity and speed of deposit outflows. For example, time deposits turn over slower than current deposits; 3) credit target which depends on the economic outlook and future demand for credits; and 4) degree of liquidity risk that a commercial bank is willing to tolerate. If a commercial bank has a high degree of tolerance to such risk, it may allow credits to expand more highly.

As above, it can be seen that the LDR is only a preliminary indicator of liquidity since it cannot reflect changes in other dimensions, for example, quality of liquid assets, deposit structure and changes in behavior, namely adjustment in credit target and risk management practice. To illustrate, consider two commercial banks with exactly the same LDR. One commercial bank may possess higher liquidity vis-à-vis the other if the former holds liquid assets of more superior quality, has a more stable deposit structure or uses a higher credit target. These differences cannot be revealed by the LDR.

## Recent liquidity conditions

One explanation for the continual increase in the LDR over time is that new loans cannot generate new deposits by the same rate. This factor stems from savers' reallocation of savings towards investment in higher-return assets such as stock, mutual fund and life insurance as a result of the low deposit interest rate environment. A study reveals that when the stock market performs better than deposit, households will increase their stock holding and decrease their savings accordingly. **(Chart 2)**

Chart 2 Financial assets held by households and spread of stock market return over deposit rate

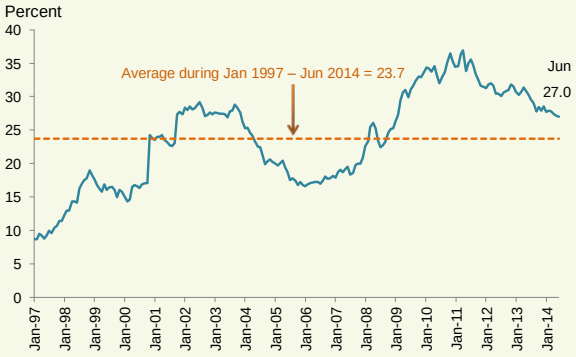



Note: *Stock market return calculated from year-on-year percentage change of quarterly average of SET TRI Index while deposit rate refers to average 1-year time deposit interest rate of four largest commercial banks at the end of the quarter
Sources: Reuters and Bank of Thailand

Nonetheless, **the increase in LDR has yet to reflect liquidity shortage in the banking sector that could potentially affect economic recovery because**:

1) Commercial banks have retained a high portion of liquid assets. The ratio of liquid assets to deposits has continued to be higher than historical average **(Chart 3),** reflecting that commercial banks had enough liquid assets to absorb deposit outflows during previous periods.

Chart 3 Commercial bank's ratio of liquid assets to deposits




Note: Including Thai and foreign commercial banks
Source: Bank of Thailand

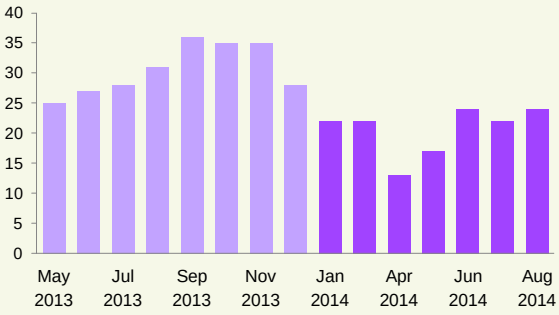
2) Competition on deposit mobilization has cooled down in recent times due to low demand for credits and commercial banks' strengthening of credit standards. Thus, requirement of deposits for on-lending has been minimal. Moreover, some commercial banks have also adjusted their deposit structures by slowing down deposit mobilization in order to reduce cost of fund through interest expense. Such behavior reflects that commercial banks do not have a liquidity concern so that they do not need to compete for deposits as has previously been the case during the economic upturn and high demand for credits.

3) Subsidiaries of commercial banks have launched new products to match savers' needs, for example, mutual fund and life insurance. Hence, money from new loans has actually stayed within the banking group though not in the form of new deposits. This development may also explain why commercial banks do not need to raise new funds much.

## Outlook for liquidity and deposit mobilization

Looking ahead, competition on deposit mobilization is likely to pick up from rising demand for credits in line with improvement in private confidence and clarity on government policies. However, competition is not expected to be as strong as in 2013 given that economic recovery is still in its early phase and demand for credits continue to be below normal. Commercial banks also continue to maintain strict credit standards for some types of loans. In addition, competition on deposit mobilization from Specialized Financial Institutions (SFIs) has also decreased from previous periods. Thus, commercial banks do not have a great need for deposits yet. Concerning strategy, it is expected that commercial banks will continue to launch special deposit products rather than compete by raising interest rates of normal time deposits. Some new launches of special products are being carried out at present as commercial banks view that economic recovery will be gradual following the political change. **(Chart 4)**

Chart 4 Number of special deposit products*




Note: *Number of special deposit products (<48 month term) of 8 commercial banks, namely BBL, KTB, KBANK, SCB, BAY, TMB, TISCO and Kiatnakin, and 3 SFIs, namely GSB, BAAC and GHB
Sources: Commercial banks and calculations by Bank of Thailand

## Summary

Recently, commercial banks' liquidity has not tightened so much that it imposes restrictions on economic recovery. Despite an increase in the LDR, commercial banks continue to hold adequate level of liquid assets and are able to raise funds by offering other types of assets that are more attractive to savers during the low deposit interest rate environment. Looking ahead, the steady increase in demand for credits may cause deposit mobilization to pick up but competition is not expected to be strong. Given that interest rates on normal time deposits continue to stabilize in tandem with the policy interest rate, commercial banks are more likely to raise funds by offering special deposit products.